A WEEK

IN

WALL STREET.

BY

ONE WHO KNOWS

NEW-YORK:
PUBLISHED FOR THE BOOKSELLERS.

1841.

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Transcriber's Notes

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The eponymous street of the title appears in three guises: "wall-street" (once), "Wall Street" (twice) and most commonly "Wall-street".

"Mr. Jacob Broker opened an office near the wall-street", describing the street built on land where the old city wall was knocked down. His descendant brokers, the author writes, have "since congregated in the region round about Wall Street", the name which is also used in the book's title. In all other places in the text it appears as "Wall-street".

See the end of this document for a full list of corrections and changes.

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PREFACE.

The following pages were written during leisure hours of the last six or eight weeks, of which “the times” have thrown rather too many upon the writer’s hands; and the statement of this fact, I conceive to be a tacit admission, that such hours might have been better employed.

They were originally composed for the writer’s own amusement; to beguile the tediousness of otherwise idle time. And not the least motive for this indulgence was a desire to abstract the mind from too near a contemplation of the dark side of that picture, which I have described as a panic. They were not written in the first place, with any view to publication, but as each chapter was successively read in the presence of friends, and principally for amusement, those friends at length advised their publication; and with their advice they have been submitted to the press, in the original manuscript, almost without correction.

The writer has no claims to literary qualifications, and of course he seeks no reward of literary reputation. Were it otherwise the reader would at once convict him of his presumption.

Those persons who are acquainted with the business of Wall-street, will be able to judge for themselves of the truth of the descriptions; and those who have not that opportunity of judging, are respectfully requested to consider the reflections and moralizing, occasionally introduced, as made in seriousness, and the rest as the truth in burlesque.

That there is existing, at the present time, a demoralised condition of principle, feeling, and practice, pervading the country throughout, in regard to pecuniary transactions and engagements, deserving a severe castigation, will not I believe be denied by any one; and for the vindication of good faith and honesty, the writer could wish that the subject had been taken in hand, by some one more skilful than himself in the use of the scourge.

The proper correction of public morals is public opinion; but so long as public opinion is indifferent to the innovations that have grown up, and so long as pecuniary credit, and the posts of honor, trust and profit, are so frequently accorded to the most successful in their negotiations or their intrigues, without regard to the principles, or practices, that have placed them where they are—so long we may expect nothing but the increase of those mischiefs, of which so many now complain.

I confess, that were I to write the same pages over again, with a view to publication, I would alter, amend, and expunge much that is here. But as I am now engaged in something that will afford more pleasure in its pursuit, and more profit if attained, I have not time for this purpose at present. And since the present is a time, when men's minds are alive to the subjects which I have endeavored to bring out in ridicule, I submit the whole for what it is worth.

The introduction of vulgar wit may serve to amuse some, but it is not a passport to men's good sense; and, although it may sometimes make a book sell, it is not, in my opinion, the best way to convince of the truth. And the only excuse for indulging in it is, that the subjects of remark, and the slang frequent in Wall-street, are not of that character which cultivate the delicate sensibilities—nor can they be pourtrayed to the life, by such language or figures, as should grace the conversation and writings of a gentleman.

The practice of making a book personal, is, and ought to be condemned; and, if it is objected that, in this, I have called persons by their right names, or pointed too clearly at individuals, the answer is, that, except in the case of one martial spirit, the notable Major Downing, [1] whom I have shorn of a little of his patriotism and courage, I have in "no instance made allusions which have not been directly applied, and treated with much greater asperity, by all the newspapers of the day." And this fact, I conceive, has given me licence, since it would be folly to wing a shaft of invective or ridicule, if it aimed at no object.

The major, I must suppose, will not consider himself aggrieved, because, from his position, he was the only person whom I could conveniently make tributary to the information I wish to give; and, since he has so often asserted his courage, without fairly acknowledging his identity, he has no cause to complain at being assailed on that point.

The remark will generally hold true, that whatever requires to be explained, or excused, is always wrong; but, in this case, I think it will not apply. I would therefore be understood as excusing only the faults of the book, and not the object at which it is aimed.

And, lastly, the writer cannot help saying that, in the face of the trite remark that, “those who live in glass houses should not throw stones,” he will not deny, that, in the expressive language of Wall-street, he has himself been “flunked;” and, with this candid acknowledgement, which will, perhaps, satisfactorily account for the production of the book, in the minds of those who may please to consider it an effusion of spleen,—he subscribes himself—

Respectfully,
THE AUTHOR.

N. B. It is perceived that a considerable number of errors have escaped notice and correction, in the following pages; but as they affect only the orthography and the grammar, without detracting from the truth, or the moral of the story, I have thought it best to leave their correction to the intelligent and good humored reader, rather than mar a page with a formidable list of errata—except, that, in one instance, as a mere friendly suggestion, I would request the substitution, on 129th page, 7th line, of “*stewardship*” for “*friendship*.”

CHAPTER I.

INTRODUCTION.—THE ORIGIN OF JOINT STOCK COMPANIES AND BROKERS.

As the practice of some readers is to begin in the middle and read a book backwards, I respectfully request those who may open here, to begin at the beginning and read the preface first. In case of any captiousness of disposition on their parts, they may thereby save themselves a good deal of ill nature, and quarrelling with the author. But if any one is perverse, and chooses to go on without taking my advice, I will not hold myself accountable for the preservation of his temper, nor even of this book; for I am not sure but he may throw it in the fire, before he gets through the first or second chapter. But, should he even persevere and go through, until he receives my parting "salaam," still I request him to turn back and read the preface, that he may see what the writer thinks of his own book.

HOW BOOKS ARE WONT TO BE MADE.

It is usual with authors, in the outset of their story, to introduce to their readers their Hero and Heroine, with elaborate descriptions of their persons, manners, habits, dress, &c. &c.; all of which is intended, either to prepare the reader's mind for the very interesting positions which these personages are designed to fill, or to amuse those who are fond of that kind of portraiture. But in this history of "a week in Wall-street," there is neither hero nor heroine, but a great number and variety of characters, each of whom lives out his sunny hour, and passes again into oblivion. Some there are, it is true, who, from a crawling worm, pass into a chrysalis, and appear to be dead for a time, not only to revive again with new life and beauty, but to soar a lofty height into the world of fashion, and boast the gayest plumage among those who float on the wind of fortune's fickle favors.

The veritable history of Diedrich Knickerbocker was not a truer story than is every whit of this history of "a week in Wall-street;" but alas for the mutations in all human affairs!—a sad change has come over the waking dreams of the inhabitants of this goodly city, since the days when Petrus

Stuyvesant surrendered the government of Niew-Amsterdam to the conquest-loving Briton.

HOW NEW-YORK BECAME SO POPULOUS.

From that day, when first its name was changed to New-York, it has not ceased to be overrun by the stragglers from every country and clime, but especially by those cunning vagabonds from Connecticut, and her sister states, who had well nigh taken in their toils the venerable Petrus and his jolly trumpeter, Antony. And they have now trodden down, or overturned, every remnant of social order, that was so remarkable in the time of the honest Dutchman. In one respect, at least, these interlopers seem to be the favored of heaven—for their seed has multiplied as the sands on the sea shore; and it is shrewdly suspected, by some, that the gambols of the cunning Antony with the lasses of New-Haven, in his famous journey thither, may have had some hand in this, since never was a people known who could blow the trumpet of their own fame, better than these same descendants from the colony of New-Haven.

THE OLD WALL BROKEN DOWN.

From their love of continual change—which they call improvement—they had no sooner gained a footing in the city, than they persuaded the honest Dutchmen to break down the *city wall*, which had hitherto prevented them from robbing the cabbage garden or tapping the hollands of the rich burghers, and which, some have said, was erected partly to prevent their too frequent solace of themselves with the softer beauties concealed by close caps and short petticoats. And they further persuaded them to convert the ground into a street, thence called "Wall-street;" which, being the scene of their first victory over that prejudice which prefers to keep folks honest when they are so, has ever since continued to be the focus of all enterprises undertaken for one's own benefit, to be accomplished by other peoples' means. And it is even said, that the projectors of this work, in reality, designed only to gain for themselves unobstructed access to the good living, and the pretty damsels, of Niew-Amsterdam, now New-York. Want of means themselves to perform so great a work, first suggested to them the idea of a Stock Company, for objects of public improvement; the principal virtue of which is, to replenish the fortunes of those who plan and conduct it, as is more than suspected, since most of the money generally stops short of its intended application, and can only be accounted for by mistakes in the original estimates, or expenses preliminary to the commencement of the real work.

MR. SOLOMON SINGLE-EYE.

The good Dutchmen at first looked astonished at a project so bold and vast; they next smoked a pipe and doubted; but on an explanation being given by Mr. Solomon Single-Eye, of all its advantages, accompanied with a prompt offer to embark HIS *whole fortune*, and give his services for nothing, the shares were eagerly caught up. And as the scheme rose in public estimation, the shares rose in nominal value, greatly above their subscription price; and such was the clamor for more, that the directors—having nothing in view but the public good—disinterestedly consented to sell out theirs at an advance of only seventy-five per cent., in order to appease public opinion, in respect of their apparent partiality in having retained any for themselves. Still, however, the inquiry for shares was eager and constant, so great was the public confidence in the integrity and shrewdness of the directors, and of Mr. Single-Eye, particularly.

At this juncture, Mr. Jacob Broker opened an office near the wall-street, that was to be, for the sale and purchase of shares.

MR. JACOB BROKER.

Mr. Broker was a man of great shrewdness and penetration. His education, to be sure, had been somewhat neglected, having been superintended in his youth by a strolling professor of the "black art," whom to follow, he ran away from home at the age of fourteen. But his genius was of that universal kind which all men desire and but few possess—and hence the facility with which he adapted himself to his new employment. His initiation into the black art now stood him instead of capital, and made it easy for him to convince the honest Dutchmen of his power to turn "metals of drossiest ore to purest gold." To him, therefore, they all went, whether to buy or to sell shares in the Wall-street Stock Company. And as he had often learned by the sad vicissitudes of life, the necessity of turning an honest penny for himself, he reasoned as all philosophers would do in the same circumstances, "that if he took not the tide of fortune at its flood, he might again suffer under the same unhappy conviction." In other words, he thought, and acted accordingly, that if he did not embrace the opportunity to improve his fortune when it offered, it might never present itself again. He shrewdly guessed that he might greatly aid the rise in the value of the shares by appearing to be *entirely disinterested*—while at the same time he contrived, generally, to be the real purchaser when people employed him to sell, and the seller when they employed him to buy: by which means, as the stock gradually rose in the market,—the commission being considerable, the profit more—and as he bought and sold the whole number of shares several times over, he was enabled to abstract from the pockets of the honest Dutchmen and placing it in his own, in solid cash, nearly the whole amount of the nominal rise in value on all the shares.

He was of course a man of substance, made so by his wits, and at the expense of the burghers of New-York.

HONESTY AND DISINTERESTED NESS.

That he was a strictly honest man, is quite certain; for his old master of the "black art" is known to have said, that when he paid him a secret visit, and suggested the propriety of manufacturing a few certificates of shares, to meet the urgency of demand, Jacob replied, that "if detected it would spoil the profits of his trade, and therefore, in honor, he could not consent to the proposal."

He honestly paid his debts, also, for the same reason, and as a man of public spirit, lent his means to assist in building the "old jail," to confine all those rogues in, who could not pay theirs.

PRINCIPLES OF TRADE.

To be sure, he acted on the principle that there is no friendship in trade, and that a bargain is a bargain, however made, and must be fulfilled. What if his customers *did* pay him a commission? he sold only his services, not his wits; and them he had a right to use for his own benefit. He had long since learned, in his profession of the "black art," that the measure of success depended on the closeness of his secret, and if people did not know his arts, he thought it but right that they should pay for being amused by them; and following this mode of reasoning, in the scale of progression upward to the higher sciences, he judged rightly, "that if people were ignorant they must pay for instruction."

Skilfulness in trade was, in his opinion, justly placed at the head of moral science, of which he had now become a professor; and why should he be expected to impart what he knew without a "quid pro quo?" Not he; but rather following the plain dictates of wisdom, he would learn all he could, and impart nothing.

MORAL REFLECTIONS.

If he knew better how to make a bargain than his customers did, that was their fault, not his. People should look before they leap, and look too with their own eyes, not attempt to borrow his; they should know his mode of business before they came to him; not come and complain afterwards.

These reflections while they clearly show the astuteness of his mind, also suggest the reasons why stock rose rapidly; and point out the means by which Mr. Broker pocketed nearly all the advance himself,—without ever retaining more than ten shares in his hands at any one time.

In time Mr. Broker became a sage, and, as a fruit of his wisdom, left behind him a code of laws which have ever since been the standard of Wall-street.

We shall have frequent occasion to refer to points in this code, but, for the present, will only mention, that he improved upon the great Lacedemonian, who is said to have made a law that placed the crime of stealing only in detection—Mr. Broker placed it only in the punishment. It was of no consequence that a man should be found out in his roguery—that only established his character for shrewdness—a word of modern coinage, which some silly and old fashioned people have supposed to be, only a mitigated term for dishonesty. He never became a criminal until the law reached him with punishment; and the merit of his character, as well as the measure of his success, depended entirely on the length he could go, and the frequency of his exploits, and still escape the lash of the law.—And herein is seen the peculiar virtue and particular wisdom of those contrivances called Corporations, and Joint Stock Companies, of which Mr. Broker was a great encourager. An ingenious device, wherein an imaginary body alone is made accountable for the acts of its members; while the real actors may hide behind it, as long as it has power to protect them, and scamper off without fear, when it has not. It has also this peculiar property, that, when the directors have taken to their heels, like the ignis-fatuus, the farther you

VIRTUE OF CORPORATIONS.

pursue it the farther it recedes; and he who follows it long will, very likely, get stuck in the swamp from whose foul vapours it has been generated: and, at most, if fairly got hold of, it is never found to consist of any thing more than a worthless bit of parchment.

DISCOVERY IN NATURAL HISTORY.

We have said that Mr. Broker was a man of universal genius. In proof of which, he essentially improved the vocabulary of English; and in two particulars, conclusively shew that Johnson and Buffon are in error, viz.—that a Bear means a man who has no shares in the Stocks—one stripped—in an em-bar-assed condition, and that a Bull means a man who has more shares than he can keep, and has gored his neighbour to procure them.

His was the first Broker's office ever established in the city of New York; and from him have descended all the race of brokers which have since congregated in the region round about Wall Street. Whether his posterity have answered Dr. Johnson's[2] definition of the word broker, viz: "A negotiator between two parties who contrives to cheat both," will be seen in the course of this history.

SIMPLICITY OF THE GOVERNMENT.

When the gallant Col. Nicholls had, in the name of the crown of Great Britain, taken full possession of the city and territory of New Amsterdam, and bestowed upon it the name of his patron the Duke of York; by way of conciliating the Burghers, he left them undisturbed in all their civil and domestic privileges, without embarrassing them with the intricacies of British laws. And in those days of simple legislation, the government had not yet learned the way to purchase power, and make people dishonest, by selling corporate privileges. And demagogues had not yet learned to claim the monopoly, as a reward for their intrigues. Consequently, Mr. Single-Eye, and his coadjutors in the matter of the Wall-street Stock Company, had the power of fixing things all their own way; that is, they made all their own laws, rules, and regulations, without let or hindrance of any kind. And so ingeniously were they contrived, that, by their natural operation, the money which came in by subscription, all leaked out again exactly at the right place and at the right time. Since that time, the wisdom of the Legislators of most of the states has decreed, that people shall not associate in bodies for purposes of roguery, without first buying a licence; and, under the name of Charters, they will sell licences to cheat the public, as the Pope sells plenary indulgences, to replenish a wasted Treasury, (*vide the great state of Pennsylvania and the U. S. Bank.*)

WHAT A DIRECTOR SHOULD BE.

It is worthy of remark and imitation, that neither the president nor the cashier of the Wall-street Stock Company ever ran away with a dollar of their money; so rigid a *surveillance* did Mr. Single-Eye keep over its affairs. Although nothing but a director himself, he held the true doctrine, that directors should really be the head of an institution, and that the president and cashier were merely heads of the clerks. Mr. Single-Eye was moreover of opinion, that it was better for a director to hustle the money into his own pocket, and make sure of the gain, than to suffer another to do it, and incur the odium himself. To be sure, he was somewhat at variance with Mr. Broker on this point, but Single-Eye had the power, and there is nothing like that for enforcing a good reason.

DEGENERACY OF OUR DAYS.

And here I cannot forbear to remark on the degeneracy of these days, when directors so often give up all management to the presidents and cashiers, thus leading them into temptation, and provoking them to do that, which they might do themselves with greater safety, because they are less immediately responsible. Alas! how many men, with their families, have been ruined by this cruel lack of vigilance.

I should not have said so much on the origin of stock companies and brokers, but that I thought it necessary, to a more perfect understanding of what shall follow. Having said so much, it is proper that I should make known the fate of this first attempt at stock jobbing. And it is especially necessary that I should do so, for the benefit of those widows and orphans, who have any doubts about the entire safety of investing their little fortunes in the like securities.

Every body has read of the severe reproof once administered, by a Spanish lady, to a gentleman who complained of the indelicacy of their statuary. She told him that, had his own mind been pure, he would never have discovered indelicacy in what was "true to nature."

STOCK COMPANIES.

It is well known that stock companies, such as banks, insurance companies, trust companies, and the like, are got up entirely by disinterested men, for the purpose of affording an opportunity for ladies of a "certain age," widows, and orphans, to invest what little funds they have in safety, with the certainty of a *moderate* income. Accordingly, whenever a company is started, and the stock *all* subscribed for by the managers, this class of people are particularly favored, in being permitted to purchase some shares at a trifling premium of ten or fifteen per cent., and urged to take an interest before they shall go higher. And then, after two or three years' refusal to make any dividend, for fear they might spend it imprudently, the same gentlemen who sold the stock, are willing to buy it back again at a discount of only fifty per cent.; and the poor spinster is perfectly satisfied of the safety of her investment, because, having once parted with the money, she can never get it back again. This class of stockholders are also particularly favored and acceptable, because they never want to borrow, and never find fault with the management; and if, by chance, they should suspect themselves to be badly used, a tear shed in secret is the only complaint they ever make.

EVIL TO HIM WHO EVIL THINKS.

I will lay it down as a rule, therefore, that whoever distrusts the integrity and good intentions of those gentlemen, who get up a stock company, and collect within its vaults the widow's mite and the orphan's support, is no better than the gentleman before alluded to, whose perversion of the luxuries of taste flowed from the impurity of his own mind.

A DIRECTOR A WEASLE.

Whenever any company is attempted to be established for purposes of public improvement, it is always a prerequisite of success, that in the programme, the expense should be set down at one half, and the profits and advantages at double—and this mode of stating things, although it varies from the actual result only three hundred per cent., is sure to convince, and the public will eagerly catch at the enterprise. The reason of this necessity is, that if the truth were told in the first place, there would be little chance for management in the stock, and none whatever of its being all taken up. But by this *shrewd* management, it generally happens that an original subscriber, after having paid up in full his subscription, and two or three assessments beyond, loses all confidence, and suffers all he has paid to be forfeited to the company, rather than pay more. Thus the original subscribers generally lose all their money; the stock is resold by the company to some new comer, and the company, in the end, collect a million capital upon a subscription of half that amount. And whoever subscribes to a new fashioned bank, or a railroad, and does not find the directors awake to this management, may hereafter say with truth that he has caught a weasle asleep—there being no other difference whatever in the vermin, than is expressed by the simple affixes *bi* and *quadru*.

Such was the character of Mr. Single-Eye, of the Wall-street Stock Company; and the number of similar institutions which now display their gilded signs there by the same means, can only be told by multiplying some of the numericals.

It so happened, however, that the Dutchmen, from their natural stupidity and ingratitude, as Mr. Single-Eye averred—but, as some suppose, from some lurking doubts of his virtue, and a spice of his own cunning—after having paid seventy-five per cent. premium for their stock, through the agency of Mr. Broker—could not be convinced of the propriety of paying more in the shape of assessments, notwithstanding Mr. Single-Eye, and his partners in the directorship, assured them that all was right, and that the money had all been properly expended.

COMMITTEE OF INVESTIGATION.

A committee of examination into the company's affairs was therefore appointed; whereupon Mr. Single-Eye, being grieved at such indignity offered to his honor, took the "book of minutes" and walked off, leaving the Dutchmen in a state of "confusion worse confounded," from which they never recovered: thereby establishing a precedent for the tragedy lately enacted in the Water Works Bank, in this city—wherein, if the directors of that institution had consulted the ancient chronicles, they would never have tried to cover their own delinquency, by a contemptible persecution of their late venerable cashier.

The committee of examination, without waiting to come to their senses, adjourned “sine die.” The city wall had been broken down, and its materials were all scattered about in delightful confusion. A complete inroad had been made on the hitherto peaceful and happy homes of the Dutchmen. They had lost all the money invested in the company, with the melancholy satisfaction that it would cost them as much more to clear away the rubbish; and the street was left to the slow progress of time, to assume its present magnificent appearance.

HONORABLE END OF SINGLE-EYE.

It is remarkable, that such fatal results to the first experiment, should not have proved a death blow to all similar enterprises in future. But the Dutchmen overcame their misfortunes by patience and industry. The memory of their wrongs was all washed away by the soothing lethe of time, and their follies were all buried in the deep dark valley of the land of forgetfulness. Mr. Single-Eye, and Mr. Broker, ever afterwards fared sumptuously every day. They lived long and died lamented; and the tablet to their memory, lately removed from the Garden-street church yard, was inscribed with this motto: “Money is good, fame is good, but to know how to improve the follies of others is better than either.” And their descendants, learning wisdom from this law, have ever since continued to follow their example.

THE MORRISON KENNEL.

And now, my dear readers, having initiated you into the origin of stock companies and brokers, as well as the phrase and practice of Wall-street, in my next chapter I will give you the history of the “Morrison Kennel”—a company that has exhibited so many of the phases of human nature, that some have said that “old Nick” must have had a hand in it. If you expect that the dogs of this Kennel will prove to be hounds, I will tell you beforehand, that they are the veriest puppies in cowardice, treachery, and meanness, while they are perfect wolves in voracity; as will be proved by the perfectly denuded bones of the dead but stall-fed ass, which they have just forsaken.

If any one is curious to know from whence I got all this information, I will tell him. I received it from a venerable chronicler of the age, who has the old manuscript in his possession, and who now visits Wall-street daily to mark the passing events. He has agreed to meet me there every day for a week, where he will reveal to me the history aforesaid, and such other matters as his experience and observation may suggest.

CHAPTER II.

THE HISTORY OF THE MORRISON KENNEL—NICHOLAS THE 1ST —A STOCK SPECULATION, &C.

It is a pleasure which comes gratefully home to the heart, when contemplating the picture of human life, in whatever grade of society or condition we view it, amongst the multitude that flit by us, occasionally to see a being that stands out in bold and bright relief to its dark shades.

On the second day of my visit to Wall-street, while sitting with my venerable friend, the old gentleman, pointing to the street asked, “do you see that man.”—“Yes,” I answered, “and I know him; he is a man of honor, such as honor should be considered,—one of nature’s noblemen; his word is as good as his bond, and his friendship is better than either. He pays his debts because he promises, lends to oblige his neighbor, and gives to benefit the receiver—he tells the truth because it is right, and cheats nobody because it would be wrong. He has gradually risen in wealth and credit, has the confidence of every body, and amidst all the slime and filth that surround him, his character stands untouched and unsullied by its poison.”

ONE HONEST MAN IN WALL-STREET.

He may be seen every day, at half past ten, going to the stock exchange, with a book under his arm; and may be known by the breadth of his foot, the swing of his legs, and the weight of his bottom. He will occasionally appear in the course of this history, under the name of Mr. Bottomly, and I hope his conduct will vindicate my description of his character.

The old gentleman heard my remarks with apparent consent and pleasure, which were indicated by a smile of satisfaction peculiar to himself; but my silence was immediately commanded by a significant nod, with a gesture of the hand, as much as to say “there are some things however in Wall-street, which I know better than you do,” and he then proceeded, agreeably to promise, to relate the history of the Morrison Kennel.

The garrulity peculiar to men of his age, must excuse the frequent introduction of remarks foreign to the narrative; and when I tell my readers, that my friend is a man of deep reflection and high toned moral sentiment, as well as acute observation, they will not be surprised at his occasional illustration of fact by reference to principle.

THE VALUE OF A NAME.

"The practice of the aborigines of this country," said he, "of giving names to men and things, indicative of their qualities and exploits, is well considered savage. Since the day when the poet first propounded the question 'what's in a name?' mere moralists have been at fault. But modern practical skill has discovered that there is much; and it was left for the originators of the Morrison Kennel, to find out the best use that could be made of it, viz: that it may be made to cover one purpose under color of another—may gain credit for what it is not, and shield from detection what it really is, or may gull a State with the promise of improvement, and cheat the people of their money for their credulity. In short, the advantages to a stock company of a judicious choice of a name, are incalculable; not the least of which arises from properly compounding it, so as to mean more things than one, as the Morrison Kennel and Banking Company. One peculiar advantage of this last is, that as the projectors are not always certain what they will do, but intend to be governed by their success, they are thereby enabled to shift their course to suit the breeze."

WHY THIS WAS CALLED KENNEL.

"This company would probably never have attained the *soubriquet* of Kennel, a mere play upon the original sound, but for the remarkable financial talents of Nicholas the 1st, profanely called old Nick, in the first place, and its employment afterwards to help to hold up the sides of the great bull dog of Pennsylvania, ycleped the U. S. Bank, who had grown so weak from disease, that it was feared, without such aid, his attempt to bark, would prove a concussion of air from the wrong orifice. In other words it was feared, that without collateral support, the first resumption would *not* last as long as the second *did*.

"The circumstances which called into activity the financial talents of Nicholas, deserve a particular notice, as they have an important bearing on this history. And for that purpose, I must introduce to you a gentleman well known in Wall-street; of amiable disposition, gentlemanly deportment and honorable connections. His person may be known from his resemblance to king Saul, being taller, by the head, than any of his tribe of brokers, and, as he bears the appellative of an immortalized Friend, and the signification will be descriptive of his character, I will call him Mr. Friendly."

MR. FRIENDLY AND HIS APPETITE.

"The only thing remarkable about this gentleman is, his extraordinary appetite; from which, taken with his slender proportions, it has been inferred by some, that, like the bird most avoided by sportsmen, his alimentary canal consists only of a straight passage; for he has been known to gorge and digest more stocks in one day, than the weight or bulk of his whole body in the certificates."

FRIENDLY'S CAUTION.

"With this introduction of a part of the 'dramatis personæ,'—having already described, with some particularity, the motive for, and the manner of, getting up stock companies, with such parts of their general management as can be interesting to the public—I will commence with the Morrison Kennel, at that point when the causes for the activity before alluded to commenced, viz: precisely at that time, when the directors had expended the whole amount of capital subscribed, together with a loan of seven hundred thousand dollars obtained in Holland, in digging a ditch through the State of New Jersey, which served little other purpose than to drown the Jersey farmers' pigs—without any one of the said directors having cleared more than fifty thousand dollars out of the company, by means of contracts or otherwise—when their credit was exhausted, the stock reduced in market to one fifth its original cost, and the directors ready, on the first symptom of alarm, to take to their heels for safety. Then, fortunately for them, Mr. Friendly, desirous of improving his fortune, which at this time he found to be in rather a waning condition, formed a scheme of speculation in the stock, commensurate with the vastness of his own desires; and, with this view, he began with the caution and finesse of one who has a game to play. He first ascertained that some of the directors were still in possession of a considerable amount of the stock; whom he could, very probably, draw to his own interest by endeavoring to aid them; and he then proceeded to the office of Mr. Bottomly."

CALLS ON BOTTOMLY.

"Good morning, John," said he, "how are you?"

"Pretty well Dan, how are you?"

"Hard up."

"Hard up," eh!—"No cornering, I hope"—"No,"—"dull times, no movements, things are paralysed, very much."

Mr. Friendly wished, and was therefore pleased, to find his neighbor alone. So he sat down without ceremony. And after a variety of common place remarks, he at length arrived at the point where he should unburthen himself of his subject. His object was to enlist Mr. Bottomly in his proposed speculation, and thereby secure his means, his influence, and his interest in its favor.

"John," said he, "the Morrison stock is very low, what do you think of it?"

"That it sells for more than it is worth."

"That may be, but a thing is worth what it will bring."

"The seller always thinks so, but the buyer sometimes finds that he has paid too dear for the whistle."

TWO WISE HEADS TOGETHER.

"What would you think, John, to see the Morrison at 75."

"I should think very strange."

"Stranger things have happened though, John. I have a mind to move in the Morrison, what say you to join me?"

"What do you propose?"

"Why, you have the means,—the stock may be had at twenty, and a hundred thousand dollars would control the whole of it. It must be done quietly; and then by contracting on time we should have the power to deliver without loss when we sold; and by making three contracts to receive to one to deliver, we can make them pay whatever difference we choose."

"That would be too much power to get in our hands, Dan, would it not?"

"True, it would not answer to trust every man with so much; but in your hands and mine, I think we would not abuse it."

"What amount of exaction do you think would be an abuse of such power?"

"Why, it would be wrong to take more than two hundred per cent. profit, unless we got hold of some one who could well afford it."

"But that would be using force to appropriate other people's money to our own use. I think it would not be justifiable."

PLAN CHANGED.

Mr. Friendly, though not devoid of sound sense and a good judgment, usually suffered his eagerness for speculation to blind his mind to every probable result but the glitter of gain. He had never looked on the subject in this light before. He intended nothing but a "fair business transaction," and was desirous that his friend Bottomly should share in its success. His mind revolted at doing a positive wrong; he therefore abandoned his plan, but adopted another on the instant, which though less culpable on his part, was in the end productive of an equal degree of evil. Always quick and decided in his actions, he said "well John, you are always right-minded, though you are sometimes wrong headed, we will say no more of this plan for the present; but I think well of a speculation, and therefore you shall buy me five hundred shares to day at 'the board,' I will send you in a check for 'ten up,' and the rest we will arrange to-morrow."

THE BANK PARLOR.

Having decided upon his plan of action, Mr. Friendly then immediately, sought the directors who held stock. Fortunately he found them all in the bank parlour. They had just been talking over the affairs of the company, I will not say that they had been discussing its affairs, for their conversation was like any thing else but a discussion, and consisted of sundry expletives directed principally against their predecessors in office. And here let it be remembered, that those gentlemen, whose ambition had led them to desire such a post of honor, were but newly installed in their places. And, having purchased stock to procure their election, with knowing but very little about the real state of the company's affairs, they were now unable to get rid of it, and were lamenting their folly and cursing the authors of it. For be it known, that their ambition and vanity had been stimulated by their predecessors before the election, to induce those gentlemen to seek a post which they wished to abandon themselves, knowing that sooner or later it would disgrace them.

Mr. Friendly disclosed his errand at once, and was well received.

EAVESDROPPERS.

He said he was apprised of a speculation going on in the stock of the Morrison; he intended to embark in it—wished them to hold back their stock, and aid his views in effecting a rise, and he would aid them in disposing of theirs at the right time. He did not tell them that he was the sole author of the speculation; he modestly forebore that, under the plea that he did not feel at liberty to tell all that he knew. But the directors were almost immediately confirmed in their good opinion of his knowledge and sagacity, as well as of his intention to do them a service, by hearing of the large purchases of Mr. Bottomly, at a considerable advance on the previous market value.

It is curious, as well as amusing, to see how many and how slight causes sometimes tend to aid or to frustrate a speculator in his designs.

There is a set of proscribed men in Wall-street, who were once brokers, professionally, and are now broken in reputation, credit and finances—having no means but what they have kept from their creditors, and—being expelled from the exchange board for defalcation or bad conduct—they still linger round their old haunts, and carry on a system of gambling in what are termed fancy stocks, through which they contrive occasionally to entrap and empty the purse of some newcomer, or filch each other of their ill retained means, until each in his turn gets placed on the "black list," which is the final seal of reprobation, and in Wall-street signifies—"that whoever deals with that man, shall himself not be dealt with by any one."

These gentry may be seen, daily, in squads of three, four, and five, standing on the side walks, or on the steps of the large offices, talking vociferously, and making such bids and offers in the funds, as that one not knowing better, would suppose that each held the finances of the country in his palm.

EAVESDROPPERS.

One of them, whom I will call Mr. Eavesdropper, had his ear timidly placed at the key hole of the Stock Exchange, and heard Mr. Bottomly's bids for Morrison, which instantly infused such courage into his mind, and activity into his limbs, that he went out, and before the transactions of the board were publicly known, he had privately contracted for the delivery of a large number of shares; and then, to aid his purpose in effecting a further rise, gave out that he was in confidence with John Jacob Astor, or some one no less powerful, who had determined to buy up the whole company.

MR. SPRIGGINS.

As soon as Mr. Friendly had returned to his office from the meeting of the Board of Brokers, on the day I am speaking of, and, as is common, had laid open on his outer desk, for public inspection, the record of the transactions which had there taken place—in which he had carefully noted all those in the stock of the Morrison—he walked out into the street, where he encountered Mr. Spriggins, who, contrary to his wont, for some cause, had not been present at the board that morning.

Mr. Spriggins is one of those gentlemen, whose conceit of himself supplies the place of education, manners, and intellect, and he accosted Mr. Friendly as follows:

"Dan, what does all this speculation in the Morrison mean?"

Mr. Friendly, whose polite manners encouraged the freedom of such men as his friend Bottomly, held in contempt the rudeness of impudence, and, instead of answering Spriggins, turned on his heel without noticing him.

THE FEVER UP.

Spriggins, who could never imagine the existence of such a feeling towards a gentleman like himself, attributed this treatment entirely to another motive; and knowing Mr. Friendly's speculative character, he at once imagined that Friendly had a secret that he wished to keep, and improve for his own benefit, and he immediately resolved in his own mind to outwit him. Upon this impulse he hurried away to purchase all the Morrison stock he could get hold of—which he did at a large advance of price over the purchases of Mr. Bottomly; and when he had done so, exultingly told Mr. Friendly that he was “not to be come over.” “But never mind,” said he, “you can keep your secret now, Dan; but if you are so disposed, as you know what is going on, we will operate together.”

Mr. Friendly was not disposed to embrace this offer, liberal as it was, and maintained such a reserve as excited still further the cupidity of Spriggins. Meantime, having heard of the operations of Eavesdropper, Mr. Friendly perceived that he had fairly put the match to a train that, if properly fed, would lead to an explosion. But he resolved that before it should happen, he would take good care of himself.

LOAFERS.

There is another set of men in Wall-street, which demand my description. They have neither trade nor profession of any kind, and if they ever had any, they have abandoned it. Some of them are of that class called Gentlemen, who have married fortunes and squandered them—some are broken merchants—some disgraced politicians—defunct post masters, &c. &c.,—and all of them are Loafers. They have neither wit enough to contrive, nor credit enough to carry out, a speculation: but when one has begun, like that I am now describing, they may be seen flocking in and out of the brokers’ offices—examining the stock books—talking wisely of the nation’s affairs—each one pretending to know more of finance than even Mr. Woodbury himself; and their exuberance of knowledge is almost as luminously exhibited. Like flies round a honey pot, each one is anxious for a sip, and according to his slender means, pledges a hundred dollars, more or less, and orders his broker to buy as many shares as he will upon this security. They thus materially aid the great speculators; but the result to themselves generally is, that their families or friends suffer precisely the amount they have risked—and so it was in this instance.

DEEP IN FOR IT.

Mr. Friendly continued to purchase largely of the Morrison stock, which increased the excitement, and continually advanced the price; and Mr. Spriggins, nettled by Friendly's reserve towards him, continued to be a large purchaser also, and induced several of his friends to join him.

It ought to be observed here, that these purchases were generally made "on time:" that is, the stock was agreed to be delivered at a future day. And it so happened that when Spriggins was the buyer, Mr. Friendly was generally the seller, through some other persons, as his agents; and he had taken care so to provide himself with stock, that he could meet his contracts on time—not only without the danger of loss, but with a certain profit.

HOW SOME PEOPLE NEGOTIATE LOANS.

So long as the stock maintained the very high price to which it had now advanced, all was well; but the time must come, when it would not, and then, there was danger that Spriggins, and his compatriots in the speculation, would not be able to fulfill their engagements. Mr. Friendly, therefore, as a stimulant to the action of Spriggins, and to prepare for the denouement, hinted to him that, as the stock had now so much increased in value, probably Nicholas the 1st would loan money liberally upon it; and, as the stock must rise still more, such an accommodation would be very desirable, to enable one to hold it. He dropped this hint in such a way, as led Spriggins to believe that he intended to make the application for himself. He had really, however, no intention of asking such a favor, for such a purpose, but he knew well what the effect of such a suggestion would be with Spriggins, and—as he expected—the dapper gentleman immediately started, post haste, for Philadelphia, and succeeded in obtaining from Nicholas, the promise of a loan of one hundred and fifty thousand dollars, on stock of the Morrison, which, six weeks before, was not worth, in the market, one-fourth of that amount: that is, provided Mr. Spriggins would negotiate half a million of dollars of the bonds of the U. S. B., payable in twelve months from date; by which means, Nicholas cunningly foresaw, that, instead of lending Spriggins, he should himself be the borrower of no less a sum than three hundred and fifty thousand dollars. But those were palmy days of credit: the bonds were all negotiated with ease, and the Morrison stock transferred to Nicholas, as security for the *loan*, as fast as the greedy purchases of Mr. Spriggins could command the large amount necessary.

Mr. Friendly now saw all his hopes about to be realized. By obtaining the control of a very large amount of the stock at 20 to 25 per cent. on the par, and stimulating the cupidity and self conceit of Spriggins, he constantly went on buying ten shares at an increased price, and always selling, through some one else, twenty shares to every ten that he bought, until he succeeded in throwing the whole stock upon Spriggins, and his associates, who, as we have seen, were supported by Nicholas, in their mad speculation. And, in less than four months from his first purchase, Mr. Friendly retired, with a clear profit of one hundred thousand dollars, and the eternal gratitude of the directors of the Morrison, whom he had assisted and relieved.

FRIENDLY'S PLAN CONSUMMATED.

The directors of the Morrison rubbed their hands with glee, and treated Mr. Friendly with the greatest respect, when they found that they had got rid of all their stock, not only without loss, but at an enormous profit. But then came the affairs of the company, which were not a whit better now, than when the stock was depressed. In fact, they were every day growing worse—for the interest on their enormous loans, was now becoming due, and they had nothing to pay it with.

THE DIRECTORS STUCK FAST.

At a meeting of the board of directors, about the time we are speaking of, for purposes of business, they all sat in silence, for some minutes, looking at each other—each one wishing that his neighbor might propose some remedy—and their hearts sank within them, as each one successively uttered a desponding sigh at the poverty of his invention, or—what was still worse to get over—the poverty of their finances. At length, Mr. Faintheart proposed that they should all resign, and let the affairs of the company take care of themselves. This course—although so successfully practised some time afterwards by their successors in office—did not suit the taste of Mr. Hold-on; who said that "the public mind was not now prepared for such a movement. A few years more, and the people will be more enlightened, and will not expect directors to retain their seats when they have nothing to gain by doing so. But, if we desert them now, the thing will be looked into; we shall be accused of all the roguery that others before us have done—we shall be hunted like rats. My motto, therefore, is, 'don't give up the ship;'

and, as none of you propose a remedy, I suggest that, as Nicholas now holds a large amount of the stock, perhaps he will loan us a couple of hundred thousands, especially, if he is made to believe that it is wanted to finish our works of improvement, and that *when* they are *finished* it will improve the value of his stock fifty per cent."

A WISE SUGGESTION—ITS RESULT.

The proposal was hailed with delight, and Mr. Hold-on was deputed to manage the negotiation, which he did with the same success, in the same manner, and on the same conditions, as did Mr. Spriggins.

This cunning device of Nicholas, always to be the borrower, when he appeared to lend, is altogether a modern invention, and was very successfully practised, a few years since, in an attempt to relieve the merchants of New-York, and which, some have wickedly said, was used to enable certain gentlemen to collect their private debts, and finally went to relieve Nicholas of his money, by throwing the same debts upon him. Be that as it may, it is universally admitted that Nicholas was the first inventor of a bank, whose business was to borrow, instead of lending, money.

OLD NICK'S SHREWDNESS.

By these master strokes of policy, Nicholas came into possession of a claim of two hundred thousand dollars against the Morrison, and held an equal amount of their stock, both which in six months afterwards he found to be not worth a farthing. To these circumstances it was owing, that, through his influence, the Morrison Kennel was afterwards revived with great splendor, and scenes were enacted, which, though they have caused many a tear of grief to flow, will, I hope, not fail to excite your laughter by their relation.

My venerable friend here excused himself on account of fatigue, but with the assurance that, at our next meeting, he would introduce me to some new and original characters, and also tell me about the negotiation of a great state loan—how the directors of the Morrison helped to nurse the great "bull dog" of Pennsylvania in his sickness, and how they all ran away, when they found he was likely to die, together with some account of his disease, and his last moments.

If any one is curious to know what became of Messrs. Friendly, Spriggins, and Eavesdropper, after their figure in the Speculation, I will take this opportunity to tell them, that what has here been said is but a small part of the fame to which they are entitled; but it is my business only to show the results of such things as I have related.

HOW THE OPERATORS CAME OUT.

Mr. Friendly, as all good men do, spent his money liberally and charitably. To a large circle, his house was the centre of politeness, elegance, and hospitality; but his insatiable appetite for speculation ruined him at last, as it does all others; at least, he is so far ruined, that until another speculation shall turn out like the Morrison, he will be content to practice economy. Mr. Spriggins set up his carriage on his anticipated profits, and was let down from it before his coachman had fairly mounted his livery; and report says that he has since done the same thing three times over. Mr. Eavesdropper ran wild with his first success, and, in the end, only arrived one stride nearer the "black list." And exactly one hundred and forty others were made poorer than they were before, by the whole amount which they put at risk.

If the mischiefs arising from this species of gambling were confined to those who set that kind of speculation on foot, or who make it the business of their lives, there would be nothing to lament. But such is not the fact. The whirlwind naturally sweeps everything within its influence, and over which it has power, to its centre. Hundreds, nay thousands, allured by the success of a few, are induced to embark in the rash adventure. They are unacquainted with the real character or causes of the fluctuations, and even if they are not ignorant, they are liable to be outwitted by some of the hundred minds that are continually plotting against them. Here is the fruitful source of all those defalcations of public officers—the purloining of money by officers, and clerks of institutions which have so much multiplied of late—inflicting misery on the families, and disgrace on the names of many a once honorable man.

RESULTS OF GAMBLING.

The business is showy and fascinating, its temptations subtle and alluring. Young and enterprising merchants embark in it, and find that they have lost their money

GOOD LESSONS TO THOSE WHO WILL HEAR.

and their credit, when it is too late to repent. The hard working mechanic embarks a few hundred dollars, and when he finds himself in debt and no means of paying, sees that he has been outwitted, and that, if others have made money, he has lost it. In fact that it is he, and others like him, who have assisted the successful to pocket his profits. Women yield up the savings of years to be invested in something, they know not what, and wail over their folly and their credulity, when all their bright hopes have faded into a worthless certificate. In fact it is only the loss sustained by such as these that enables the operators, as they are termed, to accumulate, or even to live by their business; for they could do neither the one nor the other within themselves. And it will be found to be a necessary consequence, that in all such speculations as that of which I have endeavored to give but too faithful a picture, if one is made rich, a hundred are made poor. In no country in the world, is the hazard of stock gambling, so great as in this, where there is such a multitude of stocks, based upon the schemes of individuals, and affected by the ever changing prosperity of our growing, yet comparatively unsettled condition; and where the capitals are often so small, that it is in the power of two or three designing individuals to raise them above, or depress them below, their real value, as may best suit their plans or their convenience, thus often destroying the sole dependence of the needy and helpless.

CHAPTER III.

STATE STOCKS—HISTORY OF THE MORRISON KENNEL CONTINUED—INTRODUCTION OF NEW CHARACTERS—THE U. S. BANK, &C.

BUBBLES.

Among the many schemes of finance that have disgraced our country, and been fruitful sources of peculation, deserving the severe censure of justice, and the ridicule of wit, there are none more prominent than the bubble of state stocks. Time was when that name had a signification of value; but a new era is now upon us, the end of which, "is not yet." The character of our western population is one of hardy enterprise, and great intelligence in their own particular sphere; but by some strange fatuity they have overrated their credit, and in so doing, have overreached themselves. That confidence of a western man which induces him to believe that he can "whip his weight in wild cats," is no vain boast, but the natural consequence of that hardihood, of vigor that comes of their spirit of enterprise; and it is not to be wondered at, that the thrift of their situation should inspire a similar confidence in other matters.

HOW WISE MEN HAVE BEEN DUPED.

But, until they can learn to take better care of their credit, and intrust the management of it to more skilful and experienced hands, they will never cease to be cheated and dishonored. The following detail by my venerable and facetious friend, of a negotiation for the sale of state bonds, would be true to life, if it were not too feebly described, for as I write only from recollection I find it impossible to do justice to his humor.

BUTTONING UP.

"Before," said he, "I proceed to the story of the state bonds, I must first relate to you what changes took place in the Morrison." As soon as the speculation detailed yesterday had ceased, and Mr. Friendly had fairly retired with his profits, the stock went down, down, down, and not a purchaser for a single share could be found at any price; and as soon as the whole class of small speculators perceived that they had been "stuck," aware of the injury the little credit they possessed would sustain, if they were known to have met with a loss, they all shut their mouths, except, that each one pitied his neighbor; and strange as it may seem, not a man could be found in Wall-street, who confessed the ownership of a share; where three weeks before there were thousands. This is called "buttoning up," and if any gentleman in a certain predicament was ever surprised by a bevy of ladies suddenly turning the corner, he will know something of the hurry felt, and the nonchalance assumed, on this occasion.

NICK'S TALENTS AND COURTESY.

Six months from the time when Nicholas made the loans before spoken of, he "found that the security was not worth a farthing." If any one is surprised that he should have been so improvident of safety, they only need be told, that he is one of those men whose expansiveness of mind, and splendid talents were at home only in great things. He could grasp at millions, and sport with them as mere baubles; but the dull and dry detail of investigating trifles, was fit occupation only for meaner minds. And to the same splendid talents it was undoubtedly owing, that in passing into retirement, he was enabled to discover so much soundness and prosperity in the affairs of the U. S. Bank of Pennsylvania, when nobody else could, and that the stockholders of that institution, are so permanently fixed in an investment of a capital of 35 millions, that they will never get a dollar of it back again.

Nicholas, however, was a man of courtesy, and when on a visit to this city, condescended to call on the directors of the Morrison. The money borrowed by them, had been all expended; another instalment of interest was becoming due, and nothing provided to pay it with. He met them in the Bank parlor, with solemn faces, and like the Irishman's owl, which he feigned to be a parrot, they spoke not, but were thinking very hard.

THE D——L NOT TO BE FEARED.

"Well gentlemen," said he, "what is the matter?" Mr. Faintheart, always foremost to express discouragement, and always the last to aid in relief, immediately replied. Why Mr. B. the D——l is to pay, and we have no money. True, answered Nicholas, you owe *me* a good deal of money, but if that is all, it can no doubt be arranged.

Mr. Faintheart first blushed, then turned pale, rose from his seat, and his knees smote together, when he perceived that he had unluckily hit on the vulgar cognomen of Nicholas. Regarding the man with the highest veneration, and even with fear, and unable himself to comprehend, how so great a mind could exist, without more aid than falls to the lot of common mortals, he secretly believed the profane allusion to be a verity, and, in his fears, expecting a blow from the forked tail, that would annihilate him at once, he was fain to ensconce himself under the table. But perceiving that none of his comrades attempted to run away, and that Nicholas himself sat in “the armed chair, calm as a summer’s morning,” with a smile playing upon his countenance, benignant as benevolence herself, he was re-assured; the purple came to his nose again, and he stammered out, I beg pardon, I had no allusion to—to—*you*, sir.

“Sit down, Mr. Faintheart,” said Nicholas, “your wit amuses us.”

Mr. Faintheart sat down, but was unable sufficiently to master his disturbed, and mortified feelings, to utter another word.

EVERY MAN HAS HIS PRICE.

What further took place at this conference is not fully known, but it is generally understood that, by the advice and influence of Nicholas, it was then and there agreed, that, to revive the credit of the Morrison, it was best to have a new official organization, and to select for that purpose men of talent, shrewdness, property and credit. But as few such could be found who were willing to act, common scandal has affirmed, that resort was had to the principle, that “every man has his price,” and that sums as high as ten thousand dollars were paid, in more than one instance, to procure the requisite number, all of proper standing.

All this took place soon after the period we are speaking of, and if, by talent and shrewdness, is meant, the ability to obtain credit, when none is merited, and to know how to appropriate the avails to themselves, without incurring liability, with two or three honorable exceptions, the selection of officers was a judicious one. All these, however, were minor considerations, and when Nicholas saw his new friends installed, with a prospect of reviving the credit of the company, and not only recovering his debt, but obtaining a bolster also, to support the weary head of his great Pet, his ends were nearly answered. This was probably one of the encouragements which led to his famous letter of resignation; and, since the cotton speculation is now closed, and the commissions all realised, we must now leave him to enjoy his taste for literature, botany, and horticulture, on the banks of the Schuylkill.

FIGURES MAY BE MADE TO LIE.

A semi official statement of the affairs of the Morrison was now put forth. This also is a plan of modern invention, not called for of yore; and whenever it appears gratuitously, is always designed to support a false credit. Its success depends on such a classification, division, and subdivision of the items, that the figures will express the same things three or four times over. In this instance it was properly done, and accordingly, the stock and credit of the company were revived under its influence.

NEW CHARACTERS.

And now, said my friend, it is time I should make you acquainted with the gentlemen you saw this morning. The tall, spare, white haired gentleman, with a scooping form, a down-cast look, and a contriving countenance, is Mr. Bold Eno. You saw that he had an eye of fire; but it is only a spark struck from a heart of flint, and a conscience of steel. I have not much to say about him now, but he will figure by and by. The next is a gentleman of more noble presence, and less of the look of the d——l about him. His mouth is full of honied words, but if you believe them all, they will very likely prove “sweet to the taste but bitter in the belly.” His name is John-of-the-Field, which signifies that he is a great sportsman; but his sports are chiefly confined to shooting with the long gun. It has been said that he could shoot round a corner; but that is a slander upon the truth, and arose only from his dexterity, in always providing a corner, round which he *can* escape, whenever his favorite weapon throws wide of the mark. He is a lover of the arts, and his soul melts at the dulcet sounds of music. His politeness, and hospitality, can be measured only by his love of power; and his opinion of himself is, that to make him the “greatest and best” man alive, he needs only to have his own way.

A WESTERN FINANCIER.

The third gentleman, whose hat was a little slouched, and his coat not of the most modern cut, who measured as much space at one stride of his legs, as the other gentlemen measured at two, with his fist doubled in his glove, expressive of his determination, and his wrath, is Mr. Commissioner —— from the state of ——. In his early youth, he left the land of his fathers, the land of steady habits, where he had learned, (what every one learns there,) how to read and spell correctly, with the rudiments of Pike and Murray, and fearless and alone, treading the western wilderness in search of a more genial soil, he established himself, where now a flourishing city spreads out her next to queenly beauty. Of course he reapt golden fruits of his toil, and opinions of his sagacity; in short he became, not unworthily, a great man among them. The principal error of his mind, was, that being born in comparative poverty, and accustomed to matter of fact dealing, he regarded the stupendous bubbles of artificial credit and means, as all real, and the men who managed them, as all abounding in riches, and as honest as himself. He is now here, to see how far his improved knowledge of finance may enable him to correct his past errors of judgment.

DINING PRELIMINARY, &C.

Two or three years ago, this same gentleman came here, by the way of Philadelphia, being there recommended to the Morrison Kennel Company, and others, to negotiate the sale of two millions of dollars, in state bonds. On his arrival here, he made himself acquainted with all the characters here introduced, and was "dined" by each in turn, with a view to sound him as to his wishes and expectations.

The president of the company having been authorised to open preliminaries of negotiation with the commissioner, the board of directors was subsequently called together to hear the report; and, not to offend the dignity of any one, who may fancy he recognises his own character, I will abbreviate the names of those present, as follows, viz: The Prest. and Messrs. J. G. S. T. and W., directors; and when all had taken their seats, they proceeded to business, as follows:

DIRECTORS'S WIT AND CHAMPAGNE.

PREST. Gentlemen: in conformity with your request, I have attended to the duty imposed on me, and my report is—that in stubbornness, one Hoosier is more than a match for us all.

"Ha, ha, ha!" all around the board.

G. Well, in cunning how does he stand, Mr. President?

Prest. Simple as a doe.

T. Then he can’t escape, G., if we turn him over to you.

G. Leave off your jokes, T.; this is not a place for them. Mr. President, what says he to our proposal?

Prest. He likes it not; he wants more ready money than we possess—he won’t budge.

S. But, if we could get possession of the bonds, I think I could make a private advance.

T. (*aside.*) Yes, no doubt, and a private profit, too.

G. Does he object to our credit, Mr. President.

Prest. Not at all; he has the most perfect confidence; that was cared for at Philadelphia, before he came here.

J. Can’t we come over him with champagne?

PLANS, HARD NAMES, AND FLOORING.

T. If we had less sham here, I think it would be better.

J. But, it is our only chance; and, if we do not contrive to raise some active means soon, we shall never accomplish our designs.

T. And, if you are not quick about it, John-of-the-Field will outwit you all.

J. What says Mr. Bold Eno?

G. He is throwing cold water, and I suspect he is attacking our credit.

J. Tell the commissioner, then, that we will mortgage the Kennel to him.

G. But, it is mortgaged already.

S. No matter, tell him it is only for 700,000, and cost two millions and a half.

T. Yes, and you can tell what became of some of the money, eh?

S. Mr. T., you are impertinent; do you accuse me sir, at this board. Sir, you are a *scoundrel*.

Here Mr. T. brought round his right foot against the leg of the chair in which Mr. S., who sat next him, was balancing himself with offended dignity, and knocking it from under him, brought him to the floor, to the very sensible uneasiness of his crupper, for some time afterwards.

AVOID INDIVIDUAL LIABILITY.

Mr. S. was a man of courage, in words only; it therefore evaporated with what he had last spoken, and he dared not provoke his assailant any further.

Prest. Gentlemen, I must use my prerogative! order—gentlemen, order!

W. Gentlemen, this is not what I expected; I must retire.

T. Well, W., I'll go with you; rogues must bear to be told the truth, without throwing back an insult, generally the best evidence of their guilt.

Messrs. W. and T. here retired, and the rest again took their seats.

Prest. Suppose, gentlemen, we send for Nicholas?

G. We are no longer dependant on him, and as it might eventuate in our individual liability, if we go forward in this thing, it is my opinion that it is the duty of the president to conduct the negotiation officially on behalf of the company, and I therefore move a vote of the board that he be directed accordingly.

Prest. Gentlemen, I have resigned one treasury department, sooner than do another man's bidding, and shall decline the service; I like not this business much.

G. Suppose, then, gentlemen, that we resolve ourselves into a committee, and call the commissioner in to-morrow.

The proposal being agreed to, the board adjourned, and Mr. S. still suffering from the contusion of his lower spine, walked home with a gait much as he would have done, had he chanced to have made a rent in his nether integuments, on a windy day.

BREAKING UP—COLLOQUY.

As they went out, J. said, "Mr. G., look well that the commissioner has not another interview with Bold Eno."

"Never fear," answered G.; "I have provided employment for him."

While these things were going on in the parlor of the Morrison, the commissioner sat in consultation with John-of-the-Field, and the following colloquy took place between them:

PALAVER.

John. Mr. Commissioner, your State is one of great resources, I think.

Com. Undoubtedly, sir; surpassing that of any other State in the Union; *i. e.* when they are fully developed.

John. And you are taking the right course for that purpose. The example of New-York, in internal improvements, has, by its success, given an impulse throughout the country. In point of locality, you far exceed us; but then, we have the capital *here*, which is our great advantage.

Com. Yes, sir, if we had the capital of New-York in the State of ——, to carry out our plans of public improvement, in twenty years from this, we should exceed her in population by a million.

John. Yes, Mr. Commissioner, and your soil is so fertile, that when they were completed, even the farmers of New-York would draw their supplies from you, through the lakes, the Erie canal, and the Erie railroad, which is now in progress, principally with that view.

Here John, perceiving a stare of surprise and doubt in the eye of the commissioner, added, "*i. e.* provided they could turn their lands to a better account, by the cultivation of products more congenial to the poverty of their soil."

COM. The view taken of the subject by our legislature, is, that if we can borrow the capital now, to complete the works, the income from them will so increase, with the increase of products and population, that in twenty years they will pay the debt and interest, and leave a large revenue to the State ever afterwards.

FEELING HIS WAY.

JOHN. I have always advised my friends to invest in the securities of the Western States, as being the safest they could make; and many of them are large capitalists, who frequently ask my advice in such matters. I think if I had the agency of all the Western States, in this market, I could save them a great deal of money in their negotiations. Their debts being only about forty millions, the management of them would relieve me from too much leisure, which I find rather irksome, since I retired from the active superintendance of a large institution here.

COM. Perhaps the best introduction to such an arrangement, would be, for you to take up the loan now offered.

JOHN. Well, my investments, latterly, have been very large, which I would not like to disturb at present, but if it would *accommodate* you, I would take the matter of 300,000 dollars of the bonds, at par; but then, I should pay you 200,000 in the stock of the Long Island Railroad at par, and the balance in six months. This railroad is estimated to be the most promising stock in the country; and its friends are sanguine, that *when* completed, and in operation, the stock will be worth, at least, 250 per cent., and produce an interest of, at least, 20 per cent. per annum. The original capital was but 700,000, and with that capital, and the income of the portion already finished, say only about one-third the distance, the company has already expended one million and a half—*i. e.*, including a small debt still outstanding. I would not part with the stock for any other purpose than to oblige you—being anxious to facilitate the interest of all the Western States.

COM. My object, sir, is ready funds; they are wanted for immediate disbursement, to about the amount you speak of; if that could be arranged, terms could be made for the balance.

JOHN OVERSHOOTS HIS MARK.

JOHN. Well, Mr. Commissioner, if that is the object with you, I think I could arrange for 300,000, and give you Mississippi funds at par. The State would, of course, give me some additional security, and you would deposite the remainder of the 2,000,000 of the bonds with me for sale. My commission would be very reasonable.

COM. Why, sir, if the security of the whole State is not good, they have nothing else to offer. However, I will think of your offer of Mississippi funds. I have another call to make—so, good morning, sir.

As soon as the commissioner had left, John held this soliloquy with himself:

HIS SOLILOQUY THEREUPON.

"I am afraid I have overshot the mark. That asking security was a bad affair; but then, I am so in the habit of asking six or eight for one, hang me if I could resist it in this instance. The railroad stock, too: if he should inquire about it, 'he'll smoke me.' Two hundred thousand dollars!—why, I've got but ten shares; but then, I could buy the rest at five dollars a share. A *small debt* they owe, indeed—ha, ha, ha. I have no doubt those they owe would be glad to make it small. A promising company!—yes, they promise every thing, and perform nothing. They will never divide one-twentieth of one per cent.; and then, the Mississippi funds, too—I wish I had said at a small discount, instead of par; and then I could have fixed it at one per cent., which certainly would have been small enough, for I can buy them at 30 off. Confound my avarice—I've made a miss-fire. The fellow is tame as a spaniel—but then, he's no fool; how he stared, when I puffed his State; he didn't believe me. If he talks about this, I'm ruined; but then, I'll deny it all, when he's gone."

HIS GAME UP.

When the commissioner went out, he proceeded to the office of Mr. Bottomly, where, upon inquiry, he learned the truth, viz: that Mississippi funds were at 30 per cent. discount, and that Long Island Railroad was worth 5 dollars a share, instead of 100. Of course, all further negotiation with John ceased, and that gentleman was left to wait the arrival of a commissioner from some state still farther west, with whom his persuasive flattery, tempered by experience in its use, would be more effectual. And here I leave him, to the disposal of *him*, whom the State has adjudged to possess a wiser head than mine.

HOW TO “COME OVER” A MAN.

The commissioner, when he left the office of Mr. Bottomly, encountered Mr. G., who, as we have seen, had just left the parlor of the Morrison. G. seized him by the arm, and insisted that he should go home and dine with him. It was the intention of the commissioner, to have gone immediately to Mr. Bold Eno, whose advice he now began to consider a salvo against the tricks and managements of others; not in the least imagining that, should he once get in the clutches of that gentleman, it would be like escaping from the thievishness of apes, to throw himself into the embrace of a Bear. Such an interview was precisely what G. desired to prevent, and consequently, he was persuasive to a degree that common sense, in polite society, would denominate rudeness. The commissioner, who, in days gone by, had often urged the weary traveller to partake of the bounty of his board, or accept the shelter of his roof, and whose open heart and hand still made the luxuries of his table the common property of his friends, had no idea of such a perversion of the rights of hospitality, as a prostitution of them to the sordid purposes of interest. He was therefore persuaded; and once at home with G., he was there detained through the day and evening, and regaled with savory viands—“taste after taste with kindliest change upheld,” with flowing nectar, dulcet creams, and the sweet sounds of music, with beauty’s winning smiles, till his brain whirled with pleasure and delight.

GOOD EFFECTS OF HOSPITALITY.

It is not my business to record what further took place on that day and evening; how many friends accidentally came in, to enliven the scene, and how certain gentlemen, who were introduced to the commissioner, poured flattery into his ear. It is enough that the deed was done, and in the mind of the commissioner, the character of Mr. G. was established, as the most disinterested, polite, gentlemanly, agreeable, hospitable, and honest, of men; and to his guidance he therefore submitted himself.

On the following morning, agreeably to the preconcerted plan, the commissioner, having been notified, attended at the office of the Morrison, at the appointed hour: and, in the mean time, Messrs. G. and S. having agreed between themselves to raise the amount immediately wanted by the commissioner, little remained to be done. Terms were at once agreed upon—two millions of bonds were deposited in the vaults of the Morrison, and in a few days the commissioner started for the State of ——, with 250,000 dollars in good cash, and highly gratified with his reception and success. How much of the balance the State has ever received, the condition of their treasury will best explain. Certain it is, that the embarrassment, which, in more than one instance, has followed similar transactions, has been severely felt, and will be well remembered by our Western brethren.

A WORD ABOUT THE WEST.

And here—politics aside—a question may well be asked, which every man can answer for himself, so far as opinion goes. Have not the inexperience and inefficiency of some of their agents, and the villainy and irresponsibility of those with whom they have negotiated, contributed more to induce a proposition, in some of the States, to disgrace themselves by repudiating their debts, than any want of a proper sense of honor among the men of the West? If such is admitted to be the fact, it may, in some degree, excuse the rashness of their tempers; but whoever entertains such a proposition, after a moment's reflection, would sell—not his own birth right—but his country and his kin for a morsel of bread.

THE BUBBLE WELL BLOWN.

To the uninitiated, it will seem a singular circumstance, that a company, without a dollar in their vaults, should undertake to loan two millions; but they forget the maxim, that credit is the life of business. This maxim formerly meant, that a credit, well sustained, gave success to enterprise—but by its misapplication and misuse, it has come to a different signification, viz: that the more one owes, the more he has to sport with; and it was precisely on this principle, that the Morrison Kennel contracted with the commissioner. It was only carrying out, in another shape, the invention of Nicholas—"always to be the borrower, when he appeared to lend." They had now obtained possession of 2,000,000 of the bonds of the State of ——, by advancing only one eighth part of the amount. On the remainder, they could borrow largely, and they were now prepared to wing aloft a new flight; their gaseous inflation borne upward and onward by the breath of a fame of their own creation; and they were not long in choosing which way they should direct their course.

MYSTERIES LEFT UNEXPLAINED.

Some evil-minded people will perhaps begin to surmise that Nicholas was the master-moving spirit in this matter, and that he was artfully contriving to get his pay of the Morrison at the expense of some one else; perhaps of that nondescript body called the public. Only one thing, however, is certain; he did get his pay but as every story has a sequel, this will be found to have one also. If the Morrison did not lend him the State Bonds to support his own credit abroad, and then rally their own, by negotiating his bonds, appearances and common fame, whose poisoned breath we admit is no standard of truth, were certainly against them. On what principle matters were arranged between them, is not certainly known; but it is now matter of history that a system of issuing bonds, certificates, endorsing and counter endorsing, exchange and re-exchange, was adopted, by which they drew together a large amount of capital, and both became proud examples of the splendid results which a single inventive genius, like Fulton in steam, or Nicholas in finance, may produce. The affection existing between them was equalled only by the rivalry shown by each, in offices of kindness to the other.

CHARITY BEGINNING AT HOME.

The little responsibilities of endorsing or negotiating a million or two of bonds or certificates, were all undertaken and performed as mere offices of love. What if they were moved to such kindness by the promise, or the hope, of a reciprocal support? it but proves the excellence of their hearts, and the nearer approach to that command of the Master, that we "love our enemies," and it is for such things only that we have *reward*. *Their* duty was to protect the commercial interests, of which they each considered themselves as the head; and, therefore, the first rule of propriety, and the first law of nature, imposed upon them the necessity of first taking care of themselves, individually, and their liberality in this respect cannot be too highly commended. *They* had a facility for raising money that other people had not, and duty required that *they* should enable their debtors to pay them; and if, in the accommodations necessarily granted for that purpose, the Morrison should lose a few hundred thousands, nobody would ever know how it had been lost. The stockholders, a vagabond race scattered over the face of the earth, whom nobody knows, would have to bear it; and, (aside,) perhaps they could screen themselves, and protect the Morrison, by throwing it all upon Nicholas, should things go wrong. After all, what was such a loss, compared with the importance and public benefit of supporting the *commercial interest*.

A CURE FOR HYPO.

It was not to be considered for a moment, and the wisdom of this conclusion was shortly made apparent in its effects. One gentleman is known to have recovered entirely from a nervous hypochondriacism, so severe, that his cheek blanched at the sight of his bill-book, and his rotund proportions shrank to the circumference of an eel, from the self-denial consequent upon poverty—or, what is more probable, the chagrin of disappointed ambition. But we are told that “the just shall inherit the earth,” and so it was in this instance; it having been affirmed, in vindication of this rule, that his reduced diameter, and assimilation to the animal aforesaid, enabled him to slide the easier between the sheriff and his conscience; and while his neighbors, one after another, were tumbling over the precipice of ruin, he was saved from being knocked down in their fall, by quietly reposing beneath the shade of the Morrison.

But I am growing too elaborate of description, and must bring this part of my story to a close. The subjects and material of the picture I am contemplating, are so numerous, and fruitful of thought, that it is difficult to decide which to choose, or where to stop; but the colors are too gross, and weary the eye and the mind. Besides, I hate to individualise, and must request my readers to bear in mind, that in the characters here described, *nobody* whatever is meant; and should they remember ever to have seen such a character as either of them, I must beg them to bury the memory of their follies beneath their more private and superior virtues, should they be found to have any; and if they are penitent, to throw the mantle of charity over the past, and screen them from the rude gaze of scrutiny.

CRISIS APPROACHING

The time was now fast approaching when the boluses administered by the Kennel physicians, could no longer support the weakened constitution of Pennsylvania's great pet; and what was of more importance, in the opinion of the Kennel directors, his credit was no longer sufficient to support *them*.

—NICK RETIRES.

Nicholas the first had retired from his charge, to fatten upon his laurels; Alas! that they should have faded so soon, and left him nothing but dry leaves whereon to feed his morbid appetite.

Mr. Done-up had succeeded to his place as chief physician; his patient had already suffered a relapse, and the symptoms were by no means favorable. His physicians recommended a more generous diet, but both shores of the Atlantic had already been dredged for dainties to satisfy his hungry maw. Yet still he grew more rabid, and would swallow at a gulp, what cost the labor of a year to procure.

SKULKING.

In this dilemma, the curs of the Morrison, perceiving that although they had paid the debt to Nicholas, contracted under the old direction, *they had, in another shape, just doubled it under the new*—that each of them had served *his own* purpose, and that not one of them owned a dollar in the Morrison or the U. S. B. they all resigned their seats, and scampered away to their dens; where, it is to be hoped, that, for the benefit of the coming generation, they will live and die in a good old age. And may God them assoil, the stockholders and creditors of the Morrison never will.

As I approach the conclusion of this chapter, my tale grows sadder, and still more sad. All created beings and things, which have beginning, must also have an end. Death lays his unpitying hand alike on man, and every monument of his greatness.

A TOUCH OF THE PATHETIC.

We wonder at the duration of our own existence; that the term of our lives should witness the pride of a powerful state; the successful opposer of the conqueror of armies, and the controller of millions, to dwell only in memory. Yet the sad tale has met our ear, that the U. S. B. of P. is no more.—That pillar of the currency that some thought was based on a rock of ages—that nursing mother, who would fain have gathered the whole nation, as a hen gathereth her brood under her wings—that giant of ubiquity, that dwelt in every town and city, a very mastodon in power, and a mastiff in watchfulness—deserted by his friends, persecuted by his enemies, and cheated by all—expired at Philadelphia on the 5th of Feb. A. D. 1841, after one long and piteous howl of 20 days and 6 hours, in the 5th year of his age.

The power of sympathy is one of the remarkable properties of life, throughout all animate and inanimate creation; and it is a circumstance worthy of note, that, at the moment of his expiring, every inferior cur, from New York to New Orleans, gave one loud and piercing yell, and laid himself down in his den. Throughout the land, old men bowed themselves in sorrow, widows wailed in secret, children began to cry for bread, girls in their teens shed salt tears, lest the fall of stocks should loose them their sweethearts, and a thousand and one ancient virgins retired in privacy to count their rosaries; not with catholic piety and reverence, but to see how much remained in the stocking.

A SHOW OF REASON.

My readers will be surprised, that I should apply the incongruous and unmusical name of bull dog to the U. S. B.; but I must beg them to recollect that I am in Wall-street, that this is Wall-street language, and that no other would be understood here. And as this was the name under which we first made his acquaintance, for the sake of consistency, I must carry out the figure. And to redeem my promise, it only remains that I should give some account of his disease.

For the benefit of science, and the coming generation, it is to be regretted that those who have his body in keeping, have refused a post-mortem examination.[3] Mr. Done-up, the chief physician, insists that he is not dead, and that he will have him kept for a year and a day, for experiments of the galvanic battery, electro-magnetic suspension, and such other inventions and restoratives as his skill may suggest. But it is the opinion of Wall-street physicians, that the doctor will never be able to do more than to embalm his body.

DISEASE—ITS NATURE AND

It is the opinion, also, of those who have had an opportunity of observing his symptoms, that his disease was a species of cholera, a sort of internal evacuation; or, to be more particular in explanation, that while promises were going out one way, the specie was going out the other; and that the too frequent gorging of stocks, state bonds, cotton speculations, &c., had the effect, like Major Downing's elder-bark tea, to work both ways. One singular circumstance has attended him throughout; which, as it is a reversal of the order of nature, is worth mentioning. In his case, *corruption* took place long before death, and *mortification* afterwards. His disease is said to have had its origin in an overheating of the blood, in the great contest about the deposites. But as this is a matter of some dispute, I leave the point to be settled by the great successors of their "illustrious predecessors"—Dr. Done-up of Philadelphia, and Dr. Ran-down of Kinderhook, both of whom, it is supposed will now find sufficient leisure, amicably to settle their differences.

CAUSE.

My friend, the relator of the foregoing, here left me abruptly again, but as I am sure to find him in the same place to-morrow, I shall not fail to make him a visit. What the subject of his conversation will be, I cannot tell, but as he has found me a willing listener, I feel sure that he will be as communicative as ever.

PRACTICAL HINTS.

It was my intention, at the close of this chapter, to have expanded a little on the great value to the public, of corporations, when in the hands of men of talent, property, and credit, who can, without responsibility to themselves, act for the benefit of the stockholders. But, as I have already detained my readers too long, and since people will think for themselves, right or wrong, if they ever chance to think at all, I need give no further evidence of their utility, and entire safety in such hands, than the following facts. Among all the officers and directors of the Morrison Kennel, and the U. S. B., in which about forty millions of dollars have been totally sunk and lost, not one of them ever failed, or lost a dollar in his individual capacity; and, had the stockholders loaned their capital directly to the merchants, through whom it will perhaps be said it has been lost, instead of investing it in those stocks, they would have saved in the last 25 years, only about 50 millions of dollars, in their expenses, investments in unconvertible property for their splendid accommodations, and losses consequent upon their management to sustain themselves in a ruinous business.

THE WAY OF SAFETY.

But, since commerce has so organized herself, that such institutions are necessary, if stockholders will not look after their own interest, if they will allow their agents to pursue their own pleasure without supervision, or accountability—if they will not employ as their agents, such men as will have some reference to a good conscience, and common sense, something besides selfishness in the performance of their duty to their principals, and the public, they deserve to lose their money.

WHAT EXPERIENCE SAYS ABOUT IT.

I have no wish to appear the censor of the past, or to make wise saws for the future. But for the benefit of those who may have a little money left to invest, I will give them, in few words, the experience of thirty years. Every institution, established for the purpose of creating capital, instead of investing that already possessed—every one established for the purposes of speculation, or monopoly, of any kind—or for the promotion of the interest of any particular individuals—every one which contracts debts against itself beyond the immediate means of paying, and thus loses its independence of character—and every one which perverts its means from the legitimate use, which, on a fair construction, was contemplated in its creation—either has ruined, or sooner or later will ruin, itself, its stockholders, and its customers.

CHAPTER IV.

SHOWING HOW STOCKS ARE BOUGHT AND SOLD—HOW BROKERS GET OUT OF A BAD SPECULATION—HOW MONEY IS SOMETIMES MADE BY DOING A LOSING BUSINESS—HOW DISCOUNTS ARE MADE AND OBTAINED, &C. &C.

Before proceeding to relate the conversation of my friend this day, I must first state a few facts, for the information of those who are not already acquainted with them.

THE LAWLESS HAVE LAWS.

The Board of Brokers have many rules for their government; one of which is—that, when a broker is employed by another person to buy or sell stock on time, he has the right to give the name of his principal within twenty-four hours, and then, if the other party is not satisfied with the security, he is required to deposite ten per cent., or the contract is cancelled. If the broker so employed, does not give the name of his principal, he assumes the responsibility himself. All contracts for the purchase or sale of stocks, on time, are, in themselves, illegal; the contract cannot be enforced by any law, and the only security that operators have for their fulfilment, is, that rule of the board which expels a member, if he fails in his contracts. Just as all gamblers may be supposed to expel a man from their society, who takes up his winnings, but never pays his losses: or, upon the same principle on which there is held to be honor among thieves—whoever takes more than his share, is expelled from the gang.

Stocks sold on time, are seldom delivered; but, when the contract is mature, the difference between the sale and the average market value then, is paid over by the loser.

There are a few men of property, not brokers, who occasionally buy fancy stocks in Wall-street, when money is scarce, and sell again when it is more plenty, and reap a profit by it; but their number is so small, that they have never attained the respectability of any distinguishing name.

BULL-BACKERS AND BEAR-TRAPS.

There is a larger class, who sometimes control a good deal of money, and who make speculation their business. These generally unite in squads, for the purpose of *cornering*—which means, that they first get the control of some particular stock, and then, by making a great many contracts on time, compel the parties to pay whatever difference they choose—or rather, I should say, whatever difference they can get—for they sometimes overrate the weight of the purse of those they contract with. These persons are denominated Bull-backers, or Bear-traps, according to the nature of their operations. The first signifies that they have bought stock largely, and hold it; and the second, that they have sold stock which they have not got, and trust to circumstances to be able to supply it. The brokers, themselves, in these cases, are called Bulls and Bears.

There is another, and a much larger class, who, deceived by appearances, come into the market without any knowledge of it, and generally lose what they invest. These are called Flunkies.

With this elucidation of terms, I am ready to proceed with my friend's narrative, whom, true to his habit, I found at the spot, and anxious for a listener; and, from the nature of his remarks, I am induced to believe that he suspected me of some desire or design to enter on the business of stock jobbing.

HOW TO QUALIFY FOR WALL-STREET.

"If," said he, "you have any intention of entering into business in Wall-street, you ought first to know, that, although there are many respectable men and firms here, who have accumulated property and credit, by a long course of industry and application, as in any other branch of business, there is, nevertheless, a very large class, who look upon every new comer as a fit subject for their stratagems. And very few such escape one of two extremes: either the loss of their property, or a sacrifice of conscience, honor, honesty, and every noble principle, to the mean and sordid one of getting money. The first sacrifice you would be called upon to make, would be, confidence and respect towards your neighbors—you must disbelieve every thing you hear and see, and look upon every one as having a design on your purse: no very comfortable position for an honest man."

A very large portion of the stocks termed ‘fancies,’ and in which they mostly deal, are entirely worthless in themselves; unlike articles of merchandise, which may be seen and examined by the dealer, and which always have an intrinsic value in every fluctuation of the market, these stocks are wholly wrapped in mystery; no one knows any thing about them, except the officers and directors of the companies, who, from their position, are not the most likely men to tell you the truth. They serve no other purpose, therefore, than as the representative of value in stock gambling, which might just as well be wholly imaginary, and of any other kind, as these; and you would soon learn, that the reason why there is so much dealing in *depreciated* stocks, and so little in those which are solvent and at par, is this: Nearly all the fluctuations in their prices, are artificial—a small fluctuation is more easily produced than a large one, and as the calculations are made on the par value, a fluctuation of one per cent. on a stock worth only twenty dollars a share, is just five times as much on the amount of money invested, as it would be on a par stock. Consequently, if a ‘Flunkie’ can be drawn in, he may be fleeced five times as quick in these, as in good stocks.

FANCIES BETTER THAN SOUND STOCKS.

The arts and tricks resorted to, in this kind of gambling, are the same as in all others. When the brokers and speculators engaged in it, have no customers on whom to practice, and each one is shy of the other, they lovingly play among themselves. To keep up appearances, large transactions take place, which, by mutual understanding, are not to be fulfilled, and like children at chequers, when the game is out, the kernels are thrown into common stock again, and a new one begun. And, strange as it may seem, these transactions are published in all the commercial newspapers, and go forth to the world as the evidences of value, and the condition of the money market, to deceive the unwary. Every editor, who properly regards the welfare of the community, over which his position gives him great influence, ought at once to refuse the publication of any sale of stock, but such as are of standard and intrinsic value; for it is by these means, that so many are drawn from their regular pursuits, into ruinous speculations; when, if nothing but truth were told them, they would stay at home, and

HOW FALSE LIGHTS ARE SHOWN.

save their money—to say nothing of the mischief of idleness and dissipation, which the habit of gambling engenders.

WHO IS TO BLAME.

I must not be understood as applying what I have said, or shall say, to every man in Wall-street: far otherwise. Nor would I be understood as applying it to brokers exclusively, or to any one in particular. I only say, that if the coat I shall cut out suits any man's shape and dimensions, let him put it on. On the whole, the brokers are less to blame than those who support them; and, if left to themselves, their trade in fancy stocks would soon cease. If people will gamble, there must be some place to do it, and some persons as directors, agents, and co-partners in the business; and, until the people are reformed, it is doubtful if Crockford, in London, and the brokers in Wall-street, are not more honest and respectable than their supporters.

SECRETS LET OUT.

Stock gamblers of very small capital, often have contracts pending, of many hundreds of thousands of dollars—they sometimes operate for a rise, sometimes for a fall, of prices. In the first case they buy deliverable at a future time, at a certain price. In the second, can they sell in the same way. And, in either case, their profit or loss depends on the rise or fall of the stock bought or sold; as, indeed, all their profits do; for there is no such thing as a dealer's profit for the labor and risk of distribution, as in merchandise. The whole process is a mere betting upon the future value. In this way, it will be seen that the number of chances for gain or loss is just doubled, as compared with dealers in merchandise, who always get what they buy, and sell only what they have got. They frequently make a condition to their time-contracts of "buyer's option," of "seller's option," which means, that the person to whom the option is given, may, at any time within the period of the term of sale, by giving one day's notice, call for the stocks, and this enables them to take advantage of any temporary fluctuation which may happen, or which the parties interested may be able to create. These circumstances easily explain the reason why fortunes are often so suddenly made or lost in stocks. No system could be devised better calculated than this is, to excite a gambling propensity, and afford an opportunity for the exercise of ingenuity and cunning.

"But," said my friend, "lest I should weary your patience, by too much generalizing, and seriousness, I will inform you how Mr. Tell-it got out of a bad speculation."

A NO. 1. CHARACTER.

Mr. T. is a regular descendant of Mr. Jacob Broker, of the seventh generation, and one that does honor to his ancestral renown. No greater contradiction of terms can possibly be used, than exists between his name and character, for he was never known to tell a thing that he knew, however trifling. His conversation and answers are wholly by interrogatory. When asked at what price he will sell, his answer is, "what will you give?" and he never commits himself in a promise, without first receiving a promise of another, or, what suits his taste much better, something tangible in its stead. This peculiarity of mind has led to one great virtue, to which I bear willing and honorable testimony—he was never known to tell a lie. If people take false impressions, it is because they assume false premises—if they indulge in wrong opinions, it is because they have not been diligent enough in search of truth—and, as he is a competitor for the great prize of life, he cannot spend his time to correct other people's deficiencies.

HIS CHARACTER.

His knowledge of men and things is regulated by their *properties*, and his estimate of the proper pursuits of life has received a bias from his literal construction of the Apocalypse, in which the streets of the new Jerusalem are described as being of pure gold; and he appears to regard the possession of it here, as the surest passport on his way there. In exactness and punctuality, he is a model for imitation. He generally operates "for a fall," and, like his great progenitor, his interest compels him to take pleasure rather in demolishing than in building up. His assiduity and skill are such, that, united with his great physical force, mechanically denominated "*a purchase power*," he can tear down more in one week, than the whole fraternity can build up in a year; and he has been known to topple a Bank, an Insurance company, a Railroad, or a whole bevy of brokers, by a single application of his lever.

But such is the variety and opposition of interests created by the multitude of heads, and the multiform opinions entertained by them, the circumstances of which are varied by every transaction that takes place, of which none but those concerned in them can have any control, that the wittiest sometimes get outwitted, and the strongest outdone.

GETS TRAPPED.

Not long since, a squad of Bull-backers, had for some months been, secretly, and unknown to Mr. T., getting control of a certain stock, intending to "corner" some one with it; and, aware of Mr. T.'s tearing down propensity, after due consultation, they laid a scheme whereby to entrap him. Deputing an agent of well known paucity of dollars, they sent him to Mr. T. to get a loan of money on a large amount of the aforesaid stock. The loan was completed for the term of 90 days, Mr. T. advancing two thirds the nominal value. Whether he had any ulterior object, or not, in lending the money is not known; but, as he seldom made such loans when such object did not sooner or later disclose itself, it is suspected, that in this case, he looked beyond the present bargain, and, believing that his debtors would be obliged to sell the stock he held, for what it would bring, to pay his loan when due, he commenced his operations for a fall in the stock, by selling it all out. It so happened, however, that the Bull-backers aforesaid, were the buyers of it, and this was just the snare into which they desired to lead Mr. T., knowing that when their agent should pay up his loan, and call for the stock, T. would be obliged to buy it of them, at such increased prices, as they should dictate. And Mr. T. was soon made sensible of his condition, by his debtor calling long before the time, and offering to pay up the loan, and withdraw the Stock. He was certainly surprised, but his quiet and collected manner betrayed no emotion. And here I must render another tribute to his character. He certainly bears his profits and losses well; as great men are said to bear their honors and misfortunes, with unassuming and unrepining philosophy.

The discovery of his situation however, called for the exercise of his sagacity, and he modestly declined receiving the money, only saying, that he preferred it should rest for the time agreed on.

IN A QUANDARY.

As soon as his debtor had gone out, he thrust his hands in his pockets, his eyes resting on the floor in front, and sticking out his lips, in a way which no other man does, he muttered to himself "I'm in a bear-trap—this won't do. The dogs will ‘come over’ me. I shall be mulct in a loss. But I’ve got time—I’ll turn the scale, I’ll help the bulls, operate for a rise, and draw in the flunkies.”

These men, I should have said before, have no other rule of judgment for their operations than to follow in the wake of some great and successful speculator. Mr. T. very properly regards them as sheep for the slaughter; and although the milk of human kindness certainly is a component of his heart, he makes no scruple of sacrificing a score of them at a time. Why should he? for killed and eaten they certainly will be by somebody: but they are a genitive race, and re-produce as fast as destroyed.

WORKS OUT BY DRAWING OTHERS IN.

Mr. T. had need of no further exertion, to accomplish his purpose, than to make his course *manifest to them*, they all followed his apparent lead, as sheep will follow one another over a wall, if they all fall into a ditch on the other side. Even the wise man of Israel, by his own confession, did not know every thing. “The way of the serpent on the rock was too wonderful even for *him*,” and so in this case; the way of their leader was to them, “past finding out.” But the secret of the management necessary, in this case, is, to do just the opposite of what one appears to do. Mr. T. therefore continued to operate visibly for a fall, by selling out small sums for future delivery, which he took care to have trumpeted by another, while he was very reserved himself. He thus drew all the “flunkies” after him, as *they* supposed, while he was in reality the purchaser, through his agents, of all that they contracted to sell, and by this means, before the expiration of the loan, he was in possession of the stock to deliver, with a difference of ten thousand dollars in his favor, against the flunkies.

EVILS OF TALKING IN SLEEP.

These things would never have been known, but that T. sometimes talks in his sleep, and while chuckling over the ruse de guerre, he recounted the whole story, and was overheard by his chum, who thought the joke too good to be lost.

HOW BROKERS SOMETIMES FAIL.

And now, said my friend, as I am in the way of story telling, I will tell you how money has been made, by doing a losing business. It will have been seen already that the failure of a stock broker, does not involve commercial dishonor. It is a mere acknowledgment, of his inability to pay his *bets*, for debts they are not. When this has happened, he suffers the penalty of being expelled from the board. It then becomes the interest of those to whom differences are due, (the term used for stock debts,) to get what they can and discharge him. The amount he will be willing to pay, depends on three-fold circumstances—the amount of means he possesses—his own sense of obligation—and the credit and advantages he is to gain, by being reinstated. And a settlement once made with his creditors, it becomes the interest of all, to reinstate him; for society becomes disjointed, by losing its prominent members.

When a broker operates for others, as his principals, he usually requires a deposit of ten per cent., as security against loss. They generally operate in different kinds of stock, some of which turn favorably for their interest, and the differences are in their favor. In others the difference is against them, according as their risks, or their judgment, may have proved favorable, or unfavorable. Commonly their operations are very large in amount, and it sometimes happens, that the fluctuations are greater than the security, and by the occurrence of some unforeseen event, like the recent failure of the United States Bank, a fair adjustment of the differences against them, would ruin all the parties, consequently, one or all of them must be sacrificed.

HOW THEY GET UP AGAIN.

Expediency, and interest dictate that it shall be but one, and that one the broker. He consents, because it involves less dishonor with him than the others. They can be screened by his defalcation, and, it is equally his interest to take care of his customers, as himself. And if he has not too delicate a conscience, (and all men have not,) the way is now open for the following management. When differences are in his favor, he may avow his principals, and the losers must pay, or themselves suffer expulsion from the board. Where the differences are against him, he may keep the responsibility to himself, and as they are very large, he will be able to compromise them, for the ten per cent. deposited, and perhaps less, if he has not been careful to exact the security. And when the whole is adjusted, if the differences collected exceed the ten per cent. paid, there is a profit to divide, among them all. And, if these operations are not sometimes performed with a less scrupulous regard to figures, suspicion has been guilty of a libel. I do not say, that this is a common practice among the brokers, but the power of doing, and the facility of screening it, are equivalent to an invitation to rogues to embrace it, and all the world knows, how ready *they* are to seize an opportunity.

AMUSING OPERATIONS.

Although stock-speculators, generally, affect to be very secret, as well as very cunning, in their dealings, they frequently contrive to find out each other's business, and the manner in which their liabilities sometimes develope themselves is amusing. It lately happened that two speculators, Mr. A. and Mr. B., had been operating in different kinds of stock, and each of them thought he had a considerable amount of profits to collect, and losses to pay; and the whole having passed through a broker's hands, neither of them was supposed to know who the principals were. Circumstances led to a comparing of notes, when it was found that their claims on each other were so nearly balanced, that they settled it by offset. It is believed that at least one of them intended to collect his profits, and back out of his losses; but that the other, more cunning than he, had contrived to take the place of a third party, (Mr. C.,) who was the real seller of the winning stock on his side, and when a settlement had been made between A. and B., that B. and C. divided the amount of profits on C.'s stock between them. By these means, the third party, C., was enabled to collect half of a profit, which he would never have got otherwise, and the other, Mr. B., was saved paying half a loss, which he would otherwise have had to pay, or to sacrifice his broker, who, between them both, was saved from a dilemma.

WALL-STREET NOT A SAFE PLACE.

"And now," said my friend, "unless you can follow all these windings, and are ready to turn as sharp a corner as the rest of them, let me advise you not to stay long in Wall-street; for, depend upon it, while you are here, you are in the midst of temptation, and no man ever trifled long with that, and came off with his honor unscathed, and his heart not indurated."

I thanked my friend for his advice, and replied, "that I had already determined, that I could never aspire to a professorship, nor even a pupillage, in a school requiring such active energies of body and mind."

But my friend continued, and, taking out his watch, remarked, that, as he had yet time to spare, if I pleased to listen, he would tell me something about the manner in which discounts were sometimes made, and obtained. And, willing to be informed of all particulars, in which I had now become deeply interested, I signified my wish to hear how these important appendages of trade are managed.

FICTITIOUS CREDIT.

"Young men," said he, "often mistake the basis of their own credit, and are flattered by the freedom and liberality with which money is sometimes lent them. They could not possibly commit a more fatal error, and this arises in a great degree, perhaps, from the false estimate of what is commonly called money."

The system of Bank credit, which has so widely obtained in this country, and which allows of a circulation of their notes, or bills of credit, as a substitute for money, has been productive of untold benefits. But its long success has led to its abuse; and the manifest advantage, to those who held the privilege, has led designing men to seek an influence in its control. In times of ease and plenty, these gentlemen are ever ready to exchange their credit for the substantial securities of the merchant, receiving therefor the premium of interest, as their profit. These Bank credits, being readily convertible for the payment of debts, entice men of small means into an enlarged business.

COMMON MISTAKE.

The error of young merchants seems to have been, an appreciation of Bank issues, to be the same as money, instead of an equivalent in credit, and a discount obtained, as an exchange of securities for cash, instead of a new debt contracted. They have overlooked the fact, that the same circumstances that will cause distress to them, will also cause it to the Bank, and bring with it a curtailment of their accommodations, just at the time when their wants require their enlargement. Their independence is gone, as soon as they are obliged to solicit a favor, and if in the hands of heartless and designing men, this is just the time when advantage will be taken of their necessities, as long as their securities are good; and they will find, when it is too late, that they have leaned on a broken reed.

The habit of merchants leaning on a Bank credit, and considering it better than their own, with the dependence growing out of it, has enabled the latter, by common consent, to throw around it a sacredness of character that does not attach to credit in any other place or form; and instances are of daily occurrence, where men do injustice to a neighbor, to enable them to pay a note at the Bank; while the latter, to protect themselves, will sacrifice a score or two of their customers, without mercy or compunction. When men become necessitous, they are afraid to let it be known out of doors, because it will injure their credit; and they will make almost any sacrifice in private, to save such a mortification. And to this fact, designing and unprincipled men, who, in times of pressure, convert the capital of a Bank into a means of preying upon their customers, owe their security in doing it; when, if the undisguised particulars could be known, they would immediately lose their charter and their reputation.

HOW THEY GET SERVED.

The way these things worked a few years since, in the Stork Bank and the Water Works Bank in this city, is worthy of being told by way of illustration.

HUNGRY BEGGARS.

The cashiers of these banks thought themselves so firmly seated in power, that nothing could move them. By way of brevity, I will call them Jack and Bob; but let no one suppose that the impudent familiarity of using these barbarous corruptions of a Christian name, was ever permitted to any but themselves. The bad times—which in business parlance, in its proper construction, means, that period of time when the mischiefs designed by one party, or arising from the follies and imprudences of the other, are in course of developement—brought crowds of anxious applicants daily to the counter of the bank. They arranged themselves in rows along the walls, or by the side of the counter, with anxious faces, each one waiting for his turn, and as each received a negative, his eye flashed with anger, or his cheek blanched with despair; and while others would march up, to prefer their own claims, in the vain hope of better success, those behind occasionally peered out from the long line in which they stood, and cursed the gravity and self-possession of the cashier, while he held a long parley with his customer; and the last in the line sometimes betrayed, by the uneasiness of his limbs, that the vulgar saying of "the d——l take the hindmost," was uppermost in his thoughts.

When men of business become dependent on borrowing, to meet their engagements, the daily supply becomes as necessary as daily food. The proverb tells us that a hungry man will break through a wall; and, to use a fashionable phrase, of some who do not understand their mother tongue, the cashiers were "*au fait*," in this principle of natural philosophy. Their eager eyes scanned with solicitude the cadaverous countenances of the hungry applicants, to see where their scanty means of supply might be most *profitably* applied, and when occasionally, some one received *permission* to call again when the press was over, hope at once beamed in his eye, a smile played gently about his mouth, and had the cashier been a lady, he would have fallen on her neck and kissed her. Punctual to the hour, he returns and receives from the complacent lips of the cashier, the joy-giving intelligence—"Mr. A., we have so great a press upon us just now, that we find it impossible to meet the demand for discounts; but, if it will oblige you, I will take your notes at seven per cent. interest, and give you a check on Mobile at sight, and at par, in payment."

MONEY MADE BY FEEDING BEGGARS.

"But I do not know what to do with it," says Mr. A. "How will that relieve me?"

"Well, I don't know, Mr. A., but I have understood that the Waterworks Bank is buying at a discount of five per cent. That is rather a large sacrifice to make, but it is the best that I can propose."

"Hang the five per cent.," thought A. to himself, "it will cost me but a hundred dollars, and I can pay my note;" and, to him, a day's salvation from bankruptcy, was an age of happiness. The proposal was eagerly embraced, and while the Waterworks was buying the checks of the Stork on Mobile, Savannah, Columbus, &c., the Stork was buying those of the Waterworks; and mischief-makers have reported that they were all exchanged in the afternoon.

THE DEATH-STRUGGLE.

Mr. Eavesdropper, whose name implies that he attends more to other people's business than his own, reports having overheard the following dialogue between the cashiers, at their afternoon meeting.

A BRACE OF JACK-ALLS.

JACK. Well Bob, this business works well yet, I have pocketed five hundred dollars, to day.

BOB. Yes, Jack, sure, and it works well at present; but, upon me soul, I don't see the end of it, and if we were exposed, we should make a dangling appearance, if we were even in the ould country.

JACK. Never fear, Bobby—a man never dangles here, as long as he has got money; and besides, the dogs dare not whisper a word; their lives depend on their credit, as the only means of supporting them, and they would be cut up like mutton-chops in the market, the moment they lisped their own secret.—We are safe.

BOB. Troth Jack, you're always awake, but I've gone so deeply already, that I couldn't pay a draft to day from the Secretary at Washington, an' if it were not for that brother of mine, with the Scotch christian name, who is busy at Washington, hang me if I think I could stand this.

JACK. Mr. Cashier, excuse my departure from our usual friendly familiarity, but, depend upon it, the authorities of the country will never oppress, in their individual circumstances, those who are legitimately engaged in support of their authority.

HOPES AND COMPLIMENTS.

BOB. Arragh, Jack! and you're complimentary—but the marquis cares nothing about your ragamuffin authorities.

JACK. No Bobby, true, but he cares about your dividends, and that is what you are to take care of.

BOB. Sure and I'll take care of that, by the faith of me, and how much shall *we* make, Jack, by this management?

JACK. Why at least fifty thousand a piece, if nothing occurs till the excitement is over.

BOB. If nothing happens, aye, and there's the rub, Jack. I'm afraid you'll bleed some of the patients to death.

JACK. Never mind, Bob, if we see them fairly gasping, give them another dose, and take double fees before hand. We have good security for the past already. Good evening Bob.

BOB. Good evening to ye Jack. Long life to ye. And when ye die, may ye have an uncommon long funeral. And as Jack departed, he muttered, “and if them ye murther are mourners, by me sowl it will be long enough.”

A PROBLEM.

These things may be all slander, but still, there are some who believe that a bank, which in the course of twelve months, divides ten per cent. profit to its stockholders, and accumulates a nominal surplus of twenty per cent. more, could never have done it by loaning money at seven. And it certainly is a problem in arithmetic, which requires some new devise of figures to solve.

The interest of description, would be lost in sameness of character, should I attempt to describe all the ways in which the dependent borrowers are made the chief sufferers, to gratify an undue propensity of the lenders to accumulate.

A DEFAULTER.

And I will only add what is well known here, as a warning for the future to those whose avarice outruns their integrity, that these banks, like the repentant harlot, have long since “wept by the willows,” for their departure from their first love; and the only thing I know against their present government or officers is, that the president of one of them, in paying over about one hundred and fifty millions of dollars, was detected by General Jackson in being a defaulter of eleven cents, but as the general could not tell exactly where the default lay, he escaped all other punishment, but the natural one of being removed from his office, to make room for others; who, if they were in default at all, would make it sufficiently palpable to avoid the necessity of searching out these contemptible digits.

CHAPTER V.

HISTORY OF A DEFALCATION.

On meeting my friend again to day, I was as much amused as ever with his humor, in describing a public defaulter. And as he makes his own reflections upon it, I will without farther preface give his own words, as near as I can recollect.

PUBLIC DEFAULTERS HONEST MEN.

"When we parted yesterday" said he, I was speaking of defaulters. The history of a public defalcation, beginning with its inception, and carried through its "rise and progress" to a final developement, is full of amusement and instruction, and if more thoroughly understood, the public mind would be disabused of its prejudice against the innocent authors of them. A public defaulter, is the most honest man in the world. If any other proof were necessary, there is abundance at hand. But the law of the land declares all men honest, until convicted of guilt, and its argus eyes would surely discover the truth, if it were otherwise. The history of the country gives no instance of a defaulter ever being tried, or committed. A public defaulter, is a true republican, an advocate and supporter of the people's rights, who scorn to be controlled by laws, not of their own choosing. He is in favor of the distribution of surplus revenue, and he takes the best and shortest method to accomplish it. He saves congress the trouble of legislating about it, and the people from quarrelling about its appropriation. He is a public benefactor, and distributes his wealth without stint to the poor, especially if they have a vote to give; provides accommodations for public meetings, at his own expense, is a leader in their debates, a firm supporter of the government, a liberal supporter of trade, a patron of the arts and sciences, and a leader in fashion. He promotes the interests of commerce, and sustains stocks, in his untiring efforts to make up the deficiencies, which his liberality has created, and when he has done all the good he can here, he goes abroad at his own cost to acquire new treasures of knowledge wherewith to benefit his countryman.

The baseness of ingratitude, and the malice of envy, could never be more manifest, than in the persecution of such a man. Yet, how strange it is! There are some men living, who do not hesitate to heap calumnies on his head. But if we go strait onward, those prejudices will soon be done away. The frequent occurrence of default in this age proves its enlightened character, and that intelligence is fast dissipating the benighted superstitions of ignorance.

THE TRUE LIGHT.

The people of Wall-street, are more enlightened in this matter, than the croaking herd of business men, and property owners are, who are always afraid of being taxed to make up deficiencies. They regard such a thing as the husbandman does the rain from heaven, watering the parched earth, causing verdure and blossoms to spring forth, in all their beauty, and timely fruit to satisfy their hungry souls. And when the wisdom of government is exercised, in the appointment to the emoluments of office, and the care of public monies, of one of their true friends, who is ready to sacrifice every thing, even his “sacred honor” to promote *their* success, the event is hailed with little less than a bacchanalian triumph. They know their men, and they know enough of human nature to know, that, he who has once been a stock gambler, will be again, as soon as he has the means of becoming so. And, although they may have plucked him to his last pin-feather, and then left him exposed to the cold frosts of a world’s charity, as soon as his commission is in his pocket, their respect and gratulations know no bounds.

MORE OF DEFAULTS.

A public default, is a thing which seldom stands by itself. There are many inwoven secrets, which do not meet the public gaze. The first stimulating cause,—the arts to prevent disclosure, and the natural sympathy between the friends of the appointor, and appointed, are rarely scanned. When truth bears rule, and honest men are in power, the checks, and balances are such, that one alone would not long maintain his secret. And as this seldom happens, the next point of wisdom is, when disclosures are made, so to arrange matters, that the crimes of all may be visited on the head of but one; and he, instead of suffering by the unrelenting knife, and having his carcass roasted on the altar of sacrifice, may, like the scape-goat of the Mosaic law, be turned into the wilderness, to bear all their sins beyond the camp.

JACK DOWNING IMPLICATED.

I cannot better describe to you, the beginning and conduct of a great default, than by reading a detected letter, from a notable correspondent of General Jackson's, who, from his great personal intimacy, could not have failed to know the truth.

JACK'S LETTER TO ——

Perhaps, as this letter somewhat implicates, the redoubtable major in an infidelity to the bank, and the government, should it ever come to his notice, he may insist that it is "Kounterfit;" but as it was by mistake, inclosed in a package, and directed to a friend, by the first recipient, when he was leaving in haste, I have no doubt of its genuineness. And as the major's fortunes are known to have risen nearly in inverse proportion to the fall of the bank, and Apalachi lands, even his friends will find it difficult to disbelieve it. Never having had an opportunity to return this letter, I make it public now, that justice may be rendered to all the parties.

Washington, 1835.

To squire S——
in New-York.

DEAR SIR. Your letter to the ginral, was received in Washington, as quick as the mail could fetch it. As soon as it got to the P. O. here, Amos Kindle came right over to the white house with it, and says he —"Ginral, here's a letter from York, and I raither guess—there's some news in it." As soon as the ginral took the letter in his hand, he knowed by the outside, that it was from you. The ginral is plaguey cunnin, and he knowed as quick as a weazle's scent, that Amos wanted to find out what was in it. So, says he to me, major, says he, these ere friends of Mr. Van Buren in York, pester me amazinly. And then he laid the letter down on the table, and lit his pipe, and went to talkin politics. And it warnt long afore he drove Amos away, by tellin a story about a man, who turned traitor to his patron. The ginral all the time meant Mc Lane and him, but he told the story so cutely, that it suited Kindle and Clay, just as well. As soon as Amos was gone, says the ginral to me, says he, "Major"—now we'll read this ere letter from Swartwout. That Kindle, "says he," wanted mightily to know what was in it, but though he's sharp as a needle, it wont do to trust him with secrets, unless he has a hand in making on em; and then we read your letter all over, backwards, and forwards, side ways, and cross ways. And when we got through, says the ginral to me, says he, “Major, this ere letter is amazin puzlin.”

GENERAL JACKSON “RILED.”

He was considerable riled; and says he, major, this looks mighty like your game of hocus pocus, that you larnt me to play with the cups and balls. What does Swartwout mean by being flunked? Why says I, that’s a Wall-street word, and means that he has been outwitted, in tryin to make up the money he was behind. And the ginral riz right up, and says he, major, I knowed Swartwout in New Orleans, in Burr’s time, and I know he’d stand a shot with every one of them fellows in Wall-street, as quick as he’d wink, if they tried to play hocus pocus with him, so dont tell me any more of your stories, major, and as you know, says he, that to-morrow morning I’m off to the rip raps, you must send Swartwout an answer, but remember, for by the Eternal,[4] and then he ketched off his specks with one hand, and he smashed the other hand down on to the table so, he broke his pipe in ten thousand shivers, and his eyes looked like coals of fire, and I looked round to see if the door was open, and just then Woodbury came in, and the ginral, was quiet as a lamb in a minit. But I warnt in sorts to talk about the treasury then, so I went to bed, and the ginral he was off afore day-light this mornin.

HIS PASSION—AND OPINIONS.

The ginral always said you did right in payin for printin things agin Biddle and the bank—because says he—as you say major, what is sass for goose, is sass for gander, and the only discounts, I’ve lately heard tell on by the bank, is to pay for printin things agin us. When he was in York, he was a good deal consarned to know that you had been obliged to take money, that ought to gone into the treasury. And I raly believe, if it had’nt been for that, he never would have moved the deposites, without Congress to back him. But when I tell’d him that you could make it all up, and three times over by speckilation on the money, he was as chipper *as a bird, and says he, major,* seein as the deposites are moved, we can play them double game.

> In respect of the loss you made, by the bank stock, that I recommended you to buy of my cousin Zekiel Bigelow, in Wall-street, I did'nt tell the ginral any thing, because the deposites bein moved that proved a bad spickilation. But in respect of the Apalachi land co., I advise you to vest more largely, for the ginral says, that if I think best, he'll establish a knavy depo there, and then it will be worth double.

JACK AT THE BOTTOM OF THE MISCHIEF.

J. DOWNING, MAJOR
2nd brigade.

It is proper to observe here, that the major was the owner of the stock above alluded to, as sold by his cousin, and that he was also a director and proprietor in the Apalachi land company. He was never publicly accused of being either a coward or janus faced, but his confession in this letter, with the unraveling it gives to the default, lays him open to the charge of both; for it seems that, while he was professedly the firm supporter of the bank, he was speculating on its stock, based on the expected removal of the deposites. And while the defaulter was consulting with his patron, how to get out of a dilemma, into which his personal devotion had led him, he was "flunked" by the major, his patron's confidential adviser, in a "spickilation" which he had recommended to him as a means of relief, which made his situation much worse. And when we consider, that these things were done in the face of General Jackson, who was deeply interested, and his most devoted friend, we cannot wonder that the major looked round to see if the door was open, nor that he was shortly afterwards relieved from his high responsibilities.

CAUSE OF JACK'S DISGRACE.

Although the characters of public men, are public property, they should not be sported with, too rudely, and it is to be hoped, that for the honor of the major's past reputation, he will be able to clear his skirts of this.

When the defaulter found himself deceived by the major, and his Wall-street operations all going against him, and he thereby involved in still greater pecuniary embarrassment, his soldier like spirit was roused within him, and as the

NON PLUS'D.

general said, he would have "stood a shot with every man in the street, if that would have relieved him from his difficulties." But he had been long enough there, to know that cold lead, although the heaviest of metals, was in fact but the lightest kind of argument, and his discretion, the better part of his valour, discovered to him, that if, among them all he should chance to meet a good shot, and himself receive a quietus, it would establish no truth but that of his real condition, and default. When this truth stared him in the face, he is said to have uttered horrid imprecations, and with alternating curses and relenting, to have bewailed his fidelity to his long loved friend and companion in arms, the general.

A GOOD FINANCIER.

Not that the general ever prompted him to such acts; they were volunteered by himself, out of pure love, from old companionship, and he never thought of the wrong, much less of his inability, to pay his expenditures, until the fatal truth was pushed upon his notice. How could he think of such a thing, when money was flowing through his hands, like water through a mill-race? how could he tell that there would be a balance against him? he had never kept an account in his life, nor even examined one. He was too liberal to be exact. When his shoemaker presented his bill, he looked at the foot; and if money was in his pocket he paid it, and if not, he kicked the impudent fellow out of the house, if he presumed to urge his suit, by any word of expostulation, or plea of necessity. It was unsoldier-like, and ungentlemanly to be exact in any thing, but the point of honor, viz.—if a man should say his coat was brown, when he knew it was black, call him out, and settle the truth by an exchange of shots.

And here I cannot forbear the remark, that, when government wants soldiers, they should look for fighting men. When they want judges and attornies, they should seek for those learned in the law, and when they want some one to take charge of financial affairs, they should seek those whose habits of exactness, promptitude, and experience in finance, give them some fitness for the duty.

IN A DEEP STUDY.

But the die was now cast with the defaulter, and no repentance could make atonement to offended justice. Thus far, his attempts to relieve himself from the first deficiency, had not only been unavailing, but had led him deeper into difficulty. Something more must be done, or the fatal hour of disclosure must come. The general would soon lose all patience, as well as all confidence. Should he implicate him, and clear his own skirts? No—that thought was too repugnant to his honorable feelings, it would be unjust, for if the general knew his default, he had no hand in creating it, and if, he allowed him time to escape its consequences by retrieving it, it was the kindliness resulting from old associations. It was his own want of prudence in the first place, and of skill in the second, that placed him where he was. But something more must be done. And what should he do? The finale of his Apalachi land stock, was not yet realised; he thought well of it—he thought well of all land speculations. Yes, the landed interest, must, in this country, as in every other, in time, become the wealthiest—cities were springing up every day—fortunes were made in a moment—there could be no loss—the land would not run away—the Wall-street sharpers could not "flunk" him there.

RESOLVES—AND GOES AHEAD.

Yes, he'd try a land speculation, east and west—honest man!—he never thought how much easier it was for one of these landlopers, to make a city in the woods on paper, than to be at the trouble of cutting the timber all down, and building it up again into houses, stores, churches, and academies. And that even a flowing river with beautiful falls, and "mill privileges," with fertile valleys skirting its chrystal waters, could be made, where nature had never taken that trouble, in a thousandth part of the time that De Witt Clinton could make a sluggish canal. In short he wanted the experience, which has proved these Yankee land speculators to be the genuine breed of land-sharks, which sailors so much detest for their cunning, and voracious propensities, and who, to use one of their own descriptions of themselves —"are as much sharper, than a Wall-street sharper, as a Wall-street sharper, is sharper than a needle." But the decision once made by the defaulter, his practice was to go ahead, and he usually left out the preliminary of the renowned Crocket, as implying a disagreeable necessity. If he was *not wrong*, he *must* be *right*, was the result of his logical reasoning; and certainly, no more self-evident conclusion was ever drawn from premises.

With the accuracy of judgment, therefore, which might be expected in such a case, he bought lands, to a very large extent, in various sections of the country, along with the most *respectable* companies, and from the handsomest drawn maps he could find.

An anecdote occurred about this time, which I believe has once got into the newspapers, but it is too good not to be repeated here, especially, as it will show to future generations, the value of a clean and handsomely drawn map—in other words, that it is better to do things well, than to do them clumsily.

ANECDOTE.

The defaulter had in his possession, a title to an old soldier's patent, the papers of which had been carried in a dirty pocket book, and handled with dirty hands, until the location of the patent could hardly be distinguished on the map. It had been "thrown in to him," to bind a bargain with some speculators, much the same as a huckster woman puts on to the measure too peaches more, when she sees her customer about to depart. He esteemed it of very little value, and thought no more of it, until one day a stalwart Yankee, with slouched hat, came into his office, and, says he, "mister hain't you got a piece of land there in Miss-soori, up on the Black river. Yes, was the reply, after a moment's reflection."

A YANKEE.

"Well mister, what will you take now, for that are land?"

The defaulter, who had begun to understand, a little of the mode of bargaining practiced by these men, answered "a thousand dollars," though he would have accepted five hundred.

"Did you say a thousand dollars, mister?"

"Yes."

"That's raither high. Jest let me see them are papers, mister."

The papers were handed to him, and, after being critically examined, and found to be all right, the Yankee, still holding on to the papers, from fear of not being able to bind his bargain otherwise, asked—

"Won't you take no less, Mister?"

"No."

"Well, I'll take it, just make me the title."

COME OVER BY A YANKEE.

The title was made out, and the money paid, when the defaulter, surprised at the bargain, asked, "what did you buy that land at such a price for? I would have sold it to you for half the money."

"Why," said the Yankee, "there's a darned good lead mine on it."

"There is, eh!—how much is it worth?"

"Well, I don't know, but I've dug out ten thousand dollar's worth a'ready, and I expect to get a great deal more."

"The d——l you do?"

"Yes—good bye, Squire."

Report says that this was the only valuable piece of land the defaulter ever bought, and that this was all the money he ever got back again, from all his investments. I have even heard it whispered that this same Yankee was one of the speculators concerned in making the large sale to him, in the first place, and that the "throwing it in," was but the cast of a die, to bind a profitable bargain, trusting to their ingenuity to get it back again; and, having cheated him at any rate, whether they should get it again, or not.

DOCTRINE OF CHANCES.

A mind as cool, even, as the defaulter's, could hardly retain its just balance, under such accumulations of misfortune, and accordingly, we find him sometimes afflicted with gloomy forebodings of the future, sometimes brooding over the disappointments of the past; and always taking that course that will lead him deeper into difficulty.

Whether it is right or prudent for a man involved in embarrassment to attempt to relieve himself by a single coup de main, may be a very fruitful theme for those who like to calculate the doctrine of chances; but, in my opinion, a chance, which may be operated upon in so many ways, as may the rise or fall of property, or the success of speculation of any kind—and, instead of being governed by any such natural laws as may be supposed to belong to chance, wherein the *aggregate* results must be always the same, although we do not know before hand how they will come up particularly, is overruled and affected, more or less, by the changing opinions and volition of almost every one in the community—deserves not the name, even of chance, and, in my opinion, involves the certainty and necessity of failure. And, although such a thing hath been as success in this way, yet all my experience goes to show me, that the "chance," so called, is not as one in the hundred. The fact that a man is embarrassed signifies, also, that he is unable to control his affairs, and, if he cannot control them in the state they are, their expansion, out of his legitimate course, will not help him much.

TRUE SECRET OF SUCCESS.

I believe every successful man will tell me, that the secret of his success has been, the preserving this ability to himself; and my own experience has shown me, that whenever the case is otherwise, one not only has the caprices of chance against him, but the caprices, cupidity, and contrary interests of his fellow men, to contend with, and the sooner he comes to a stand, the better for himself, and his friends. These reflections are not suggested by a default, when viewed in any other light, than as a pecuniary embarrassment; and, in this particular, they are alike applicable to all embarrassed men.

DEFAULTER IN DESPAIR.

When men, for insufficient reasons, have raised their hopes too high, their disappointment commonly brings with it a corresponding depression; and so with the defaulter—he now despaired. But let me not be understood that despair took away his appetite; far otherwise—there was no sickliness in his despair. He merely gave up all hope of being able to save himself from that very small modicum of attainture to his honor, which is comprehended in the name of a defaulter; and, as despair, in all its shapes and degrees, is always rash and unreasonable, he is said to have given himself up to an unaccountable fondness for those fashionable, yet too animating amusements, where gentlemen are supposed to stake largely. Here he met many pleasant companions, but among them, one particularly, a public functionary, who, although he had met him every day for years, in his attention to the duties of his office, he never before esteemed his acquaintance to be a jewel of such Price and value as he now found it to be. An intimacy of course grew up, which led to the denouement that must form the conclusion to this chapter.

FINDS A FRIEND.

This friend of great Price had every requisite of character for a gentleman. He would eat heavy, drink deep, and play high, and not the least of his accomplishments was, that he had no respect, whatever, for the character of Joseph, as claimed by the Hebrews. To add to his value, as a friend, these excellent qualities were made more seductive, by an agreeable exterior, and manner. He was also a man of business withal, and never gave more than an occasional hour of relaxation, to those refined pleasures.

As they chatted, and talked, and drank together, the defaulter sometimes looked at him with unmingled pleasure, sometimes with feelings akin to envy. What would he not give to possess the quiet and unruffled mind and temper of his friend? to be as free from any danger of exposure—from the haunting, disturbing influence of self accusation. Alas! the first step from the path of duty inevitably leads to ruin, unless immediately retraced.

Sometimes the thought would arise in his mind, "Is it possible that, like myself, he comes here as a relief to his burthened spirit?—to seek a solace for the cares of an anxious mind!" He banished the thought at once; but who is there that has not often found these random suggestions of thought were in fact the premonitions of truth?—and to this fact we are about to come.

BOTH IN THE SAME BOX.

One night, when the stakes had run high, and were swept by their opponents, and the two friends had set themselves down to the solace of their wine; and its inspiring qualities had heightened into extacy the love that glowed in the bosom of each, with that mellow frankness which wine always inspires, and the longing which friendship always feels, to make its loved object the co partner of its cares, the defaulter whispered in the softest accents, “Bill, I am ruined—the money I lost belongs to the Treasury.”

“So did mine!” was the full and sonorous response.

Had the thunder-bolt, which Abdiel let fall on the crest of Satan, struck the defaulter, he could scarcely have received a greater shock, and almost like the arch-fiend—

> Ten paces huge he back recoiled;
> The tenth on bended knee.

But, recovered in some degree from the shock, the friends were both astonished at their own imprudence, and, shaking hands, they separated for the night; the one to go home and ponder his lot, the other to regret his folly.

THEY TAKE COUNSEL TOGETHER.

But the disclosure had been too mutual to rest here—something must be done for their protection. It could only be done by concert, for each had the power to ruin the other, any moment; and, as a result of this necessity, it was the part of wisdom to extend their mutual confidence. If both could not be saved, one of them might. The government was passing into new hands, new interests would arise out of it, new applications would be made for office—perhaps they would both lose theirs. If they did not render their accounts promptly, they would be suspected, and lose their offices of course. They must, therefore, work speedily.

THEY ABSQUATULATE.

But the day of retribution always comes sooner than we expect. The government *had* changed hands—new interests *had* arisen—new applications for office *had* been made. They *had* become more than suspected, before they could possibly arrange, out of the chaos of their affairs, and the wilderness of their crimes, any such jumbled up accounts of interchanged receipts, costs, &c. &c., as could save even one of them. And, as a consequence upon the unfaithfulness of their friendship, they were both compelled to fly in disguise and disgrace, from the presence of their countrymen, and from the joys of home.

And now, if I have not given a true account of a default which cost the government more than a million of dollars, solely in consequence of a few thousands wrongfully spent in the first place, for electioneering purposes—if this account does not prove the total unfitness of gambling politicians to hold offices of trust—and if these circumstances will not apply in more quarters than one, public and private—it is because my powers of description are feeble, and not because the truth is wanting to establish these facts.

CHAPTER VI.

SHOWING WHAT A PANIC IS—ITS CAUSES—ITS BEGINNING—ITS ADVANTAGES, AND ITS CONSEQUENCES.—WITH THE AUTHOR'S LEAVE-TAKING.

A panic is one of those things in nature, which have existence without entity—something which may be felt, but can neither be traced nor followed. It has the power of motion and flight exceeding that of all cognoscible beings—for it can pass from city to city, on the wings of a single rumor. It has the power of making itself invisible, and can stalk through the streets in the day time unseen, frightening every body by its presence. It has the advantage of Archimedes' lever, for it has a fulcrum in the credulity of the man; and you may easily turn the world upside down with it. It is, in fact, a kind of moral element, and, like the fire, a single spark may kindle into a conflagration, which the whole nation cannot extinguish; and it must be left to go out of itself, when it has no more fuel to nourish it. It may be called forth by a whisper, but a multitude cannot bind it. It is, therefore, one of the most important of agents, but like fire also it is dangerous to handle. It is a very good servant, but a very hard master, and sometimes consumes those who kindle it.

A PANIC—WHAT IS IT?

The causes of panic, must not be sought for among natural phenomena—no science of alchymy is necessary to compound it. It may be made up of truth, composed of falsehood, or combined from both. It may be produced by hatred, jealousy, or envy. It may arise from curiosity, or the love of the marvellous, or, from a more villainous cause still, the desire to profit by its effects. And with this knowledge of its causes, if men were wise, they would give less heed to it.

The beginning of a panic in a small country town, is usually indicated by the doctor's riding through the village, without stopping to recognise his acquaintance, or an old woman hastily putting on her shawl, to run across the street to her neighbors.

What could it be for? says one.

Sure enough *what could* it be for? says another.

A PANIC IN THE COUNTRY.

Don't you think there is some bad disease about? says a third, and before long, the interrogatory assumes the shape of a declaration, and if not explained, and in less than a week, half the people of the town are sick, through fear that they may be worse.

What is Mrs. Toddle running about the street for? says one.

I expect she has gone to enquire about the school mistress. Says another.

I expect the school mistress will run away with that fellow yet, says a third, (she ran away once herself.) And before the week is out, the whole neighborhood is in a panic, for fear the school mistress should run away, and their dear daughters be corrupted, by her example—while the innocent subject of their fears is attending to her duties, all unconscious of the commotion she has occasioned.

PANICS AND PANIC MAKERS.

In great commercial cities, a panic is a different thing, and first indicates its approach in a different way. The subjects to which it generally points, are politics, and money, chiefly the latter, and never the first, except as it may have a bearing on the last. Like great and pestilent diseases, it generally has premonitory symptoms, which commonly exhibit themselves in plethora, and a wasteful indulgence in luxury. And like those diseases also, it never attacks or alarms those of regular habits, and an equal mode of living. In the city there are regular panic makers! some of them work on their own account, as Donald said he fought, when it was found that he had killed more of his own clan, than of their enemies—and some of them work for hire, as the penny-a-liners do, in fabricating marvellous stories; and hence the opportunity and inducement for making panics in the city, far exceed those in the country.

Political panics, and money panics, are like electric bodies, one is positively charged, the other negatively, and the effect of this kind is, that when they approach each other, they produce an explosion, like the breaking of the Banks, &c. These are properly termed compound. A simple panic is more harmless, and like the Simoon, if a man can stand still, and hold his breath, it will pass by without harming him.

There is also another kind, called natural panics. These are such as sometimes happen in churches, theatres, &c.—and, although they have nothing to do with the subject about which I am writing, yet a description of one of them may aptly illustrate the reasonableness of the others.

NATURAL PANICS—A RUSH.

When I was a young man, I went to a popular lecture in an old wooden church, which was very much crowded. During the service, as it appeared afterwards, some boys without, threw a handful of small gravel stones against the clap-boarding of the house, which made such a rattling, that a general rush took place, and the church was tenantless in less than a minute. Imagination pictured to some the tumbling walls. The noise of the rush, stunned every one. Some smashed the windows, and leaped to the ground, others, and some of them females, impatient to reach the door, and as they supposed a place of greater safety, strode over the heads of the dense crowd, making the most grotesque figures imaginable. Some were trodden down, but none were killed; and when all were safely out, with the exception of crushed hats, torn shirts, sore bones, and lost reticules, the enquiry began to be made, what has happened? I don’t know says one. Did you see any thing? asked another? No—did you? No—Nor I, said a fourth, and a fifth—and when all were satisfied that nothing had really happened, except a fright, they began, one by one, to approach the house again, and cautiously peeping in at the door, lest the walls might suddenly tumble about their heads, they saw the light burning brightly, and the honest clergyman sitting in his desk, the only man in the house, convulsed with laughter, at the fright of his late audience.

And so, when a panic comes in Wall-street, if any man will take a position, a little above the heads of the multitude, where he can see their folly, he may safely enjoy a hearty laugh, instead of suffering a fright.

A money panic, in the city, sometimes begins with a mere question of doubt, as, what do you think of the condition of the banks? and this question, handed from one to another, assumes new shapes, and gathers strength and importance as it flies.

Sometimes, it begins with a rattling noise, like the movement of specie, upon which the panic makers immediately conjure up the ghost of an earthquake, that is about to take place. Sometimes it is the price asked, or the refusal of a broker to buy a foreign bank note, for which he has no current money to give in exchange, which runs from mouth to mouth, and from hand to hand, until half the people in the town think their bank notes are worthless; and they will put them off for apothecary's physic, rather than keep them. And sometimes it is the mere sympathy of suspicion, when every man suspects his neighbor to be in possession of some secret, which he is not. And all, or any one of these causes, is sufficient to make three fourths of the population of the town tumble over each other in fright, while the rest laugh, and scramble after the loose coppers, which they may let fall in the fray.

A MONEY PANIC.

When a panic proceeds from any matter of fact, it is commonly such as this. The bank turns away some bad customer, who then spreads a report, that the banks are "very short;" when, immediately, every one applies for twice as much as he wants. In Wall-street phrase, "The offerings become very large," and then they all fight and jostle each other, to see who shall stand first at the counter.

HOW IT WORKS.

These are the incipient stages, which follow the first symptoms. Its increase is only a multiplication and enlargement of the same things; but when it is at its height, there is the greatest fun and fright, frolick and fight, imaginable. But as I cannot get up a pantomime show on paper, I will only relate a few anecdotes of actual occurrence, by way of illustration.

In the panic of 1837, a merchant of high standing in Broad-street, was indebted to a son of Johnny Crapeau, in the sum of three thousand dollars, money deposited with him on interest. One morning, while the merchant was busily engaged in his correspondence, Johnny came in in great trepidation, and announced the object of his visit, by saying; "Monsieur, I ver much want dat moneys *que vous me devez*."

MONSIEUR IN A FRIGHT.

Ah! I thought it was to remain, we have paid you interest for it, when it was of no use to us.

“Eh! mon Dieu! I shall lose.”

“If you are alarmed for its safety, we have no objection to paying you.”

“Sare, I must have.”

The merchant directed a check to be drawn, for the principal and interest, which he handed to him, with a receipt for his signature.

“What is dis, monsieur?”

“That is a check for the money.”

“Den you pay?”

“Yes, you demanded your pay.”

“Eh! monsieur, (handing back the check)—I was alarm. If you pay, den I dont want. If you no cant pay, den I must have.”

FOLLIES OF A PANIC.

Another instance quite as reasonable, and of equal notoriety, was a French gentleman of respectable property, entirely out of business, and out of debt. His sympathies were so much wrought upon, by the reported distresses of the community, that he began to be alarmed for himself; and accordingly applied to his bankers for a loan, which being granted, he suffered the money to lie on deposit: but his excitement growing warmer, he applied again and again, when being expostulated with by the cashier, that he did not want the money, and that others did, he replied, “sare I am afraid dat dis ting will me ruin. Sare, I must have moneys. I shall starve, if I have not moneys. I must have de loan.” His request was complied with, and when the excitement was over, without ever having drawn a dollar from the bank, he paid his debts with the loss of interest, and the gain of a good deal of mortification.

These are some of the follies of the panic. The villainies also deserve some notice.

A notable whig, and a friend of the banks, who thought nothing so good as bank notes, so long as their circulation yielded him interest, is reputed to have borrowed all he could, and then to have drawn the specie, which he hid away in his cellar, and stood sentry at the door himself. Some supposed that he was alarmed for the safety of his property, but more are of opinion, that his object was, to assist in breaking the banks, and then pay his debts in their notes at a large discount.

VILLAINIES THEREOF.

But I should trespass too largely on time and paper, to give one in a thousand of the instances which may be cited, and I will therefore illustrate the truth, by relating a few of the exploits of a notable individual.

Mr. S. was a merchant of wealth and large business. Mr. A. his debtor, was erroneously reputed to have failed, and being angry and grieved withal by the slander, he went to his friend S. for advice and consolation, and told him that so far from having failed, with a very little sacrifice, he could pay all his debts on demand. Mr. S. always governed by that cunning, which supreme selfishness and want of principle dictate, advised his debtor to make the sacrifice, and advertise for his notes, to be brought in for payment, as a means of substantiating his credit beyond all doubt in future. His advice was followed, and it so happened that Mr. S.'s was the first note sent in; and report says, moreover, that having enquired of A., to whom he was indebted, he went to the persons before the advertisement appeared, and bought A.'s notes at a large discount, and sent *them* in also.

A CASE IN MORALS.

This same gentleman had many customers in his business, and of course many debtors. Their notes were always lodged in the bank for collection, and when some of his customers came to him for partial aid, to help take them up, his reply was, that he had no money to lend; but, said he, "you can get the money for my note, and I will lend you that for the ordinary commission of 2½ per cent., if you will secure me for it." The security was willingly given, and the customer was told, if the bank don't discount the notes, the brokers will; and as soon as the customer was gone, instructions were sent to the brokers, "if such a note appears, buy it for me at double rate of interest." He usually got possession of his notes again in this way, for be it known that he was a director in the bank, and to add to the virtue of his liberality, the money which should have been lent to his customers in the first place, was lent to himself, with these views and for these purposes.

I know not under what class of morals you will place this kind of sagacity, but in Wall-street it is denominated "shrewdness," and adds greatly to one's respectability and consequence.

CHARACTER IN, AND OUT, OF WALL-ST.

But that you may not be deceived in your judgment, I will go farther and say, that what makes a character in Wall-street, does not make one out of it. Here the standard is money, but elsewhere, it requires some other ingredients to arrive at any level much above the lowest; and a man destitute of education, intellect, genius, principle, morals and religion, (though last here, yet not least,) can hardly arrive at a condition of respectability, much beyond his own conceit of himself.

MONEY, KNOWLEDGE AND HONESTY.

I never knew such a man as Mr. S., who was not deficient of education in every thing, except how to get money. The sum of his knowledge is limited to the first rule of arithmetic—addition; and although his wealth and credit may enable him to enlarge the sphere of his observation, still, it is all brought to the same practical use, addition.

Such a man always owes his little elevation to one of two things, to fortuitious circumstances, or to his own villainy; and his mind is incapable of appreciating any higher standard of morals than his own. As I once heard one of them say, (inadvertently no doubt, but yet in the honesty of his soul) when another was recommended to him for credit, on the ground of his honesty, he replied, "a very good thing for the owner, but a very poor commodity in the market."

SOMETHING BY WAY OF CONTRAST.

It is not against the people of Wall-street, or Pearl-street, or South-street, or any particular branch of business that I would be understood to aim the bitter shaft of sarcasm, but against those individuals of known delinquency, and against those principles and practices, which have, of late, obtained a tolerance that, in times gone by, would not have been suffered. And were it proper for me to do so, by way of contrast, I would here sketch a portrait of some among the many I know, who hold a just balance, and the even tenor of their way, whether in peace or in panic; but I could not do it faithfully, without pointing too clearly at those who have no need of my commendation, and who would choose that their reputation should rest on their own unaided merits.

Perhaps you have already anticipated some of the advantages which may arise from a panic, but my description would be incomplete, were I to omit to sketch a few of them.

ADVANTAGES OF PANICS.

The spirit of our institutions does not admit of the concentration or entailment of property. And here, if a man has property, and will act honestly, he need not wait the term of his mortal existence, for his children to ruin themselves afterwards, by spending it. He can ruin himself, and them too, by simply placing himself in the vortex of a single panic. But, on the contrary, if his tastes lead him to choose the former expedient, this affords him an ample field, for no scheme can be devised better calculated to make the rich richer than this is. It places the dependent debtor wholly in the power of the creditor, and he may take his pound of flesh with interest, without extracting a groan or a sigh from his patient. Nay, he will rise up from the operation, and thank him for not taking two. A panic, then, serves to hasten changes of property from one to another, and thereby acts in accordance with the spirit of our institutions, which encourages rotation.

Its advantages, also, to the separate classes of dealers, who inhabit Wall-street, deserve each a passing notice.

It enables the stock-dealer, who has heavy contracts to fulfil, to complete his engagements at a great profit to himself. It is of no consequence that what he gains, another must lose; the advantage to him is unequivocal, and, accordingly we find that these gentlemen are great panic makers on their own account.

WHY SOME MEN LOVE

It enables exchange dealers to demand double rates on all distant places, and, although the effect is to reduce the value of all debts due from those sections to citizens here in the same proportion—yet, *he* is benefited, and if people will not pay him his rates, they have the option to go and collect their money themselves. The greater and the more frequent the panic, therefore, the better for the exchange dealer. It also enables those Banks which have a speculative turn, to divert their capital from the paltry business of discounting, to speculating on their customers' wants, by becoming dealers in exchange. It greatly increases the profits of the Bank-note dealer, by enabling him to increase the rates of discount, and one peculiar beauty of his business is, that the more discount he asks, the more ready his customers are to sell. This class of dealers are deserving the particular regards of the country Banks, since *their* interest advances exactly in proportion as they can discredit them.

PANICS.

I have passed hastily over all these classes, although the ways and means by which each one of them contrives to turn a panic to their advantage, contain a fund sufficient for a long evening's entertainment. But my descriptions are not intended to be wire-drawn, and, besides, I wish to leave room for future lucubrations, without the necessity for gleaning too closely.

CONSEQUENCES OF PANIC.

The consequences of a panic are those portions of it which "may be felt;" and they begin to be felt, when people begin to count their losses, I have before said that a panic was like fire, and the simile holds good, except in one particular. The fire destroys—the panic only changes property. In both cases people are prodigiously frightened; many wounds and bruises are received, and not a few are driven from their business, and made houseless, and homeless. In the panic, as in the fire, also, there are both incendiaries and thieves, and it is a matter of doubt, which requires the most vigilance to protect one's self from.

HOW TO PREVENT PANIC.

The scenes exhibited when a pestilence has passed through the city—bringing suffering and bereavement to hundreds—when a storm has swept along the coast, strewing its shores with the ships and the treasures, which the day before floated securely on the bosom of the waves—when the locusts have passed over the fields, leaving nothing but the ravages of destruction behind—and when business men have passed through the ordeal of a panic—are of one and the same character, with this difference only; the first are events directed by Providence, which men have not the power to avert, and the last is the result of their own folly, or the wicked designs of a few. But it will be said that no single voice, nor even many voices, can control the multitude—very true; but when a mob takes place, if every man would go straight about his own business, instead of stopping to join in the hue and cry—there would be no mob. And if the magistrates join in the mob themselves, there is no authority left by which to control it. When a panic in money matters begins, there seems to be a predisposition in the bystanders, either from want of employment, the love of story-telling, or the desire of mischief, to aid all they can in spreading it.

A WORD TO CERTAIN EDITORS.

I might add, too, that many newspapers are not among the least, in bestowing their influence in this way. Some of them wish to appear wise above their fellows—and I consider it not at all derogatory to the general character of ability which they possess, to say that, in money matters, *some* of their editors really know very little of the things about which they prate. I believe it often happens that what they publish, is but the proclamation of those who design to increase the panic—and if they are to be believed themselves, *some* of them have published things contrary to their better judgment, and perhaps their own knowledge.

They can all point to the right quarter, and none of them will consider this a slander, but such as know they deserve it.

If, therefore, when a panic begins, men would improve what they know for themselves, instead of giving their neighbors the benefit of what they don't know, but have only heard or surmised—If the magistrates, the leaders and controllers of the money market, would consult something else besides their own interest, in promoting it, or their immediate safety, by escape—we should have a less frequent occurrence of panic. And, being convinced of these facts, every man can easily understand, and no doubt does understand, what he ought to do in such a case.

A DARK PICTURE.

But I perceive I am getting wide from my subject, and prating about the causes of a panic, instead of its consequences. If we would follow these out to their end, we must leave the disorganized condition of business, and follow men into their secret communings with themselves; and mark the anguish of despair, the bitterness of cursing and disgust with their fellow men, occasioned by their blasted hopes—we must follow them in their principles, and see how many are corrupted by example, and how many have done their first act of villainy, in the vain hope of escaping from its consequences. We must follow them in their morals, and see how many have, by the excitement of circumstances, lost their self-respect and control. And we must follow them to their homes, and see the desolation wrought by a sheriff's levy, or a bill in chancery, and witness the broken repose, and see the tearful eyes of loved ones: and then let any one make a levy or file a bill, or aid in a panic, who chooses.

But the mind sickens at the picture, and I turn it with pleasure to a better light, to bring out its now hidden colors.

ENCOURAGEMENT AND KINDLY ADVICE.

Every man must have felt, many times in his life, that it is better to laugh than to cry. In this case, it certainly is, the proverb of Solomon to the contrary notwithstanding; and among the many who, in the last few years, have been the victims of panic, not a few I trust are, by this time, ready to agree with me. Many an oak has been shorn of its boughs, and lived to withstand a hundred storms; many a ship, dismantled of her spars, has gained her port,—and floated again as gallantly as ever; and many a man bereft of his fortune, has lived to dispense large bounties of charity from his store; many a one too, who has long fainted beneath the load of his griefs, has lived to command those who oppressed him.

Experience is sometimes a very hard, but always an efficient teacher; and those who have suffered will have the satisfaction to know better hereafter, who to trust and what to trust, and taught to rely more on themselves. And if afraid of a panic in future, he will be able to prepare himself on the first appearance of the "premonitory symptoms," and when he sees it coming on the wings of the wind, like the man in the simoon, he may then safely turn his back, hold his breath, and let it pass by. At any rate, like the people I described in the church, he will find himself more comfortable and happy to return, and take his seat, than to be wandering about in the cold, among the multitude without, to find out what has happened.

AUTHOR'S LEAVE-TAKING.

I have now finished six days in Wall-street, which, by the only book of Ethics that I have ever learned, are the whole of the week that is at my disposal. I can hardly suppose that any man in his senses, has followed me through all the descriptions of truth and villainy, fact and fiction, sense and nonsense, which I have here given; but if any one has been so patient, I am bound to take a courteous leave of him.

First I am bound to thank him for the "high consideration" given me. And should his better feelings tell him that I am too severe, I only request him to ponder what is true—

Nor set down aught in malice.

But if when he shuts this book, he shall say, amen, he is entitled to my thanks for his patience and a double congee for his approval. No one will of course take any thing that is here written to himself, unless he discovers in it some features of his own portrait, and to those who can make such discovery, we owe neither apology nor sympathy.

MORE YET TO COME.

I have now taken leave of my venerable friend the Chronicler; but I have no doubt that while he lives, he will continue to visit Wall-street daily, as he does also some other popular places of resort, to "catch the manners living as they rise." And although I shall not be favored with his oral communications any more, yet he has promised me the free use of his diary while he lives, and of his manuscripts when dead, which are said to contain many important histories, not only of things long past, but also of the current events of the day, together with many valuable reminiscences intended only for posthumous publication.

But should the good people of Gotham, take so lively an interest in these revelations, as to invite their continuance, by buying this book, I can not say that such inducement will not call forth another compilation, from the mass of materials now at my disposal.

FOOTNOTES

[1] We intend to refer to Major 2nd., the bosom friend of General Jackson, not the original major, down east.

[2] See Boswell's posthumous edition.

[3] Since the above was written, the affairs of the U. S. B. have been examined by a committee.

[4] The secret of the major's disgrace at Washington has never been publicly known. But this passage of his letter, taken with the results of his subsequent advice to the defaulter, and his almost immediate discharge from employment afterwards, leave little doubt as to the cause.

Transcriber's Notes (continued)

The original text contains errors and many inconsistencies in spelling, hyphenation and capitalisation. The author acknowledges this in a light-hearted *nota bene* to the Preface, adding that he "thought it best to leave their correction to the intelligent and good humored reader".

In that spirit, minor punctuation errors have been fixed. Other typographical errors have been corrected as follows:

"bim" changed to "him" (enabled him to slide)

"both-shores of the atlantic" changed to "both shores of the Atlantic"

"ceriificates" changed to "certificates" (bonds or certificates)

"cheqners" changed to "chequers" (like children at chequers) “esconce” changed to “ensconce” (he was fain to ensconce himself)

“fortuitious” changed to “fortuitous” (fortuitous circumstances)

“He” capitalised (He banished the thought at once; but who is)

“suthers” changed to “authors” (against the innocent authors of them)

“there” changed to “three” (three hundred and fifty thousand dollars)

“two” changed to “too” (the too frequent gorging of stocks)

Inconsistencies have been fixed where a consensus usage was obvious. Hence the following changes to the original text:

“abreviate” changed to “abbreviate”

“Apalache” changed to “Apalchi”

“accomodations” changed to “accommodations”

“Bank-credit” changed to “Bank credit”

“controled” changed to “controlled”

“embarrasment” changed to “embarrassment”

“fancy-stocks” changed to “fancy stocks”

“general Jackson” changed to “General Jackson”

“indorsing” changed to “endorsing”

“land lopers” changed to “landlopers”

“major Downing” changed to “Major Downing” (but “the major”, etc., used as per American style)

“mastadon” changed to “mastodon”

“Mr. Eaves-dropper” changed to “Mr. Eavesdropper”

“Mr. Single-eye” changed to “Mr. Single-Eye”

“negociating” changed to “negotiating”

“negociation” changed to “negotiation”

“negociator” changed to “negotiator”

“panic-makers” changed to “panic makers”

“post mortem” changed to “post-mortem”

“rail road” changed to “railroad”

“Rail-Road” changed to “Railroad”

“state-bonds” changed to “state bonds”

“stock-holders” changed to “stockholders”

“to-day” changed to “to day”

“United States bank” changed to “United States Bank” (but “the bank”, etc., used as per American style)

“wholestock” changed to “whole stock”

However “New York” and “New-York” have been left unchanged as are other instances of inconsistent hyphenation and capitalisation or archaic/obsolete spelling. The latter includes colloquial usage in quoted conversations and correspondence.

The page headers of the book have been inserted in the transcribed text as sidenotes placed next to an appropriate paragraph. On pages of the book without any paragraph breaks it has been necessary to create a new paragraph at an appropriate location on the page and the page header placed there as above. This was required at 16 places in the transcribed text.

Footnotes have been re-indexed using numbers and collected together at the end of the book.

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